Accton

New Buy: networking/switch white-box leader riding on AI uptrend; PO NT$3,200

Initiating Coverage: BUY | PO: 3,200 TWD | Price: 2,130 TWD

AI networking/switch white-box leader; PO at NT$3,200

We initiate Accton at Buy with a PO of NT$3,200 (50% potential upside), based on 18x 2028E EPS. We see Accton as the AI networking/switch white-box leader, alongside Celestica (CLS US; covered by Ruplu Bhattacharya), poised to benefit from multi-year AI upcycle, platform migration, and specification upgrade**.** Its valuation/PEG look attractive vs. peers with higher EPS growth/ROE. We believe Street concerns about 3Q26 margin pressure from higher component costs (BofAe: GM/OPM of 18.7%/14.5% vs. consensus' 18.9%/ 14.8%) are well understood and reflected in share-price performance (-28% in 3Q26, vs. TAIEX +4%). We see any potential correction as a particularly good buying opportunity to capture positive long-term outlook. **Near-term catalysts:** monthly sales, Accton/Celestica's 3Q results.

AI platform migration & spec upgrade; more client/project

We project 37%/42% sales/EPS CAGR in 2026-28E, driven by CSPs' switch upgrade to 800G/1.6T, more project/client win, and rising white-box server/switch adoption among CSP clients. We highlight Accton's expanding partnership with its top CSP client in computing (with continued generation migration), optical, liquid cooling, and rack-level integration. We also expect another key CSP customer to contribute a double-digit% of sales in 2027, thanks to share re-gain without 800G project delay. We see further sales/profit upside from more new clients (CSP/enterprise/telco) and JDM/rack business.

Solid BS/CF to support capacity expansion & new business

Accton keeps expanding capacity in Taiwan, Vietnam, Singapore, Malaysia, and US for existing high-end AI business and new optical/CPO/cooling business. We expect annual capex of NT$6-7bn in 2026-28E but believe the historical high capex and higher working capital required can be supported by strong profitability, solid net cash, and positive FCF. **Risks:** (1) AI product/project delay and slower 800G/1.6T adoption; (2) demand push out due to component shortage; (3) GM pressure due to component cost inflation; (4) peer competition; (5) slower capacity expansion; (6) unfavorable FX/macro trend.

Estimates (Dec) (NT$)	**2024A**	**2025A**	**2026E**	**2027E**	**2028E**
Net Income (Adjusted - mn)	12,013	26,374	49,449	69,192	99,579
EPS	21.51	47.19	88.27	123.52	177.77
EPS Change (YoY)	34.5%	119.4%	87.1%	39.9%	43.9%
Dividend / Share	11.00	15.00	35.31	49.41	71.11
Free Cash Flow / Share	12.86	53.60	68.86	108.22	160.17
Valuation (Dec)					
P/E	99.03x	45.14x	24.13x	17.24x	11.98x
Dividend Yield	0.516%	0.704%	1.66%	2.32%	3.34%
EV / EBITDA*	77.22x	33.67x	17.78x	12.62x	8.80x
Free Cash Flow Yield*	0.601%	2.51%	3.23%	5.07%	7.51%

* For full definitions of *iQmethod℠* measures, see page 36.

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Refer to important disclosures on page 37 to 39. Analyst Certification on page 34. Price

13 October 2026

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Stock Data

Price	2,130 TWD
Price Objective	3,200 TWD
Date Established	13-Oct-2026
Investment Opinion	C-1-7
52-Week Range	884.00 TWD-2,825 TWD
Mrkt Val / Shares Out (mn)	37,431 USD / 561.1
Market Value (mn)	1,195,181 TWD
Average Daily Value (mn)	271.23 USD
Free Float	82.2%
BofA Ticker / Exchange	XTWOF / TAI
Bloomberg / Reuters	2345 TT / 2345.TW
ROE (2026E)	63.3%
Net Dbt to Eqty (Dec-2025A)	-47.4%

For a list of acronyms, see Exhibit 58

Related Global Research reports:

Switching Trends: 2Q26 Switching Trends: Market on a roll with growth spreading and accelerating 07 October 2026

US Semiconductors: Scaling AI with Photons: Primer on Optical

iQprofile℠ Accton

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT$ Millions)					
Sales	110,425	248,320	414,359	558,071	772,505
Gross Profit	22,791	44,919	79,933	109,110	155,499
Sell General & Admin Expense	(4,474)	(5,782)	(8,368)	(11,040)	(14,137)
Operating Profit	13,615	32,167	61,344	86,377	124,751
Net Interest & Other Income	1,532	782	1,133	1,110	1,115
Associates	NA	NA	NA	NA	NA
Pretax Income	15,147	32,949	62,478	87,486	125,866
Tax (expense) / Benefit	(3,135)	(6,611)	(13,059)	(18,326)	(26,319)
Net Income (Adjusted)	12,013	26,374	49,449	69,192	99,579
Average Fully Diluted Shares Outstanding	559	559	560	560	560
Key Cash Flow Statement Data					
Net Income	12,013	26,374	49,449	69,192	99,579
Depreciation & Amortization	1,163	1,727	2,829	4,074	4,964
Change in Working Capital	(3,190)	5,187	(6,705)	(5,646)	(8,821)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	(43)	1,564	0	0	0
Cash Flow from Operations	9,942	34,852	45,573	67,620	95,722
Capital Expenditure	(2,762)	(4,894)	(7,000)	(7,000)	(6,000)
(Acquisition) / Disposal of Investments	(98)	550	0	0	0
Other Cash Inflow / (Outflow)	3,121	(14,805)	0	0	0
Cash Flow from Investing	262	(19,149)	(7,000)	(7,000)	(6,000)
Shares Issue / (Repurchase)	0	0	0	0	0
Cost of Dividends Paid	(5,582)	(6,148)	(8,384)	(19,780)	(27,677)
Cash Flow from Financing	(6,215)	(6,663)	(8,384)	(19,780)	(27,677)
Free Cash Flow	7,181	29,958	38,573	60,620	89,722
Net Debt	(17,359)	(27,314)	(57,504)	(98,344)	(160,389)
Change in Net Debt	(4,839)	(9,235)	(30,189)	(40,840)	(62,045)
Key Balance Sheet Data					
Property, Plant & Equipment	5,445	9,228	13,599	16,726	17,961
Other Non-Current Assets	10,382	12,936	12,736	12,536	12,336
Trade Receivables	20,763	37,275	62,199	83,772	115,960
Cash & Equivalents	18,116	27,891	58,080	98,920	160,965
Other Current Assets	31,760	55,902	75,357	92,364	117,316
Total Assets	86,467	143,231	221,971	304,317	424,538
Long-Term Debt	281	84	84	84	84
Other Non-Current Liabilities	2,831	3,328	3,328	3,328	3,328
Short-Term Debt	476	492	492	492	492
Other Current Liabilities	46,444	81,691	119,366	152,299	200,618
Total Liabilities	50,032	85,596	123,270	156,204	204,523
Total Equity	36,435	57,635	98,700	148,113	220,015
Total Equity & Liabilities	86,467	143,231	221,971	304,317	424,538
iQ*method℠ - Bus Performance					
Return On Capital Employed	33.8%	52.3%	60.2%	54.3%	52.9%
Return On Equity	39.1%	56.2%	63.3%	56.1%	54.1%
Operating Margin	12.3%	13.0%	14.8%	15.5%	16.1%
EBITDA Margin	13.4%	13.6%	15.5%	16.2%	16.8%
iQ*method℠ - Quality of Earnings					
Cash Realization Ratio	0.8x	1.3x	0.9x	1.0x	1.0x
Asset Replacement Ratio	2.6x	3.2x	2.7x	1.8x	1.3x
Tax Rate (Reported)	20.7%	20.1%	20.9%	20.9%	20.9%
Net Debt-to-Equity Ratio	-47.6%	-47.4%	-58.3%	-66.4%	-72.9%
Interest Cover	NM	NM	NM	NM	NM

Key Metrics

* For full definitions of *iQmethod*℠ measures, see page 36.

Company Sector

IT Hardware

Company Description

Accton is the global networking/switch white-box leader with business expanding into optics, cooling, and rack integration. As of 2Q26, switch made up 52% of total sales, followed by networking application (46%), and rest from others. Accton was founded in 1988 and went publicly listed on Taiwan Stock Exchange in 1995. It has facilities in Taiwan, US, Southeast Asia, and Europe. Its headquarter is in Zhubei, Taiwan.

Investment Rationale

We assign a Buy rating to Accton given its leading position in networking/switch white-box market to ride on multi-year AI uptrend, platform migration, and spec upgrade. We expect double-digit% sales/EPS CAGR in 2026-28, driven by switch upgrade to 800G/1.6T and more project/client win. We see further sales/profit upside from more new clients and JDM/rack business.

Stock Data

Price to Book Value	12.1x

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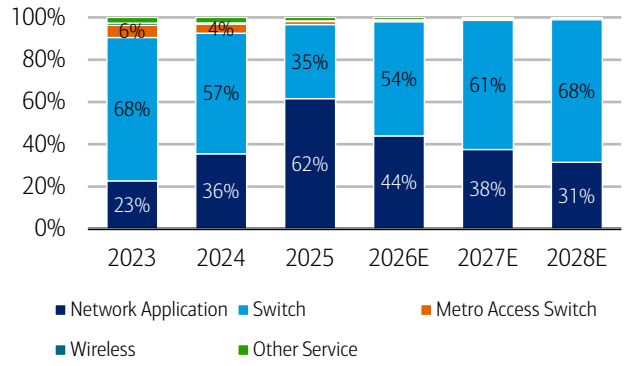
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Focus Charts

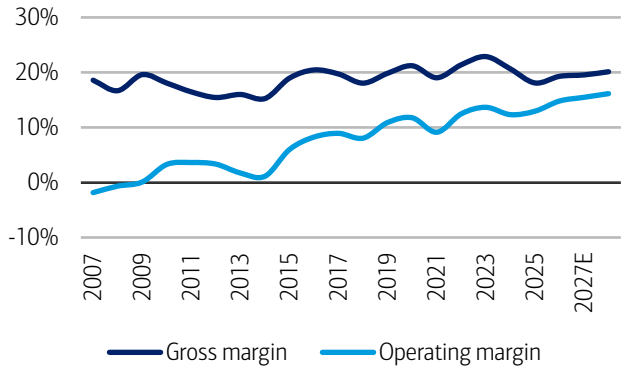
Exhibit 1: We expect rising mix from Switch at 54-68% in 2026-28
Accton sales breakdown by segment, 2023-28



Source: BofA Global Research estimates, company data

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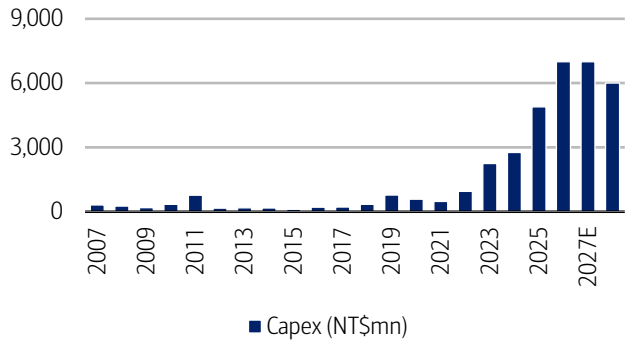
Exhibit 2: We expect GM to sustain in 2026-28E with expanding OPM
Accton's margin trend, 2007-28E



Source: BofA Global Research estimates, company data

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Exhibit 3: We project Accton's annual capex at NT$6-7bn in 2026-28E,
Accton's capex trend (in NT$mn) in 2007-28E



Source: BofA Global Research estimates, company data. Capex refers to purchase of fixed assets

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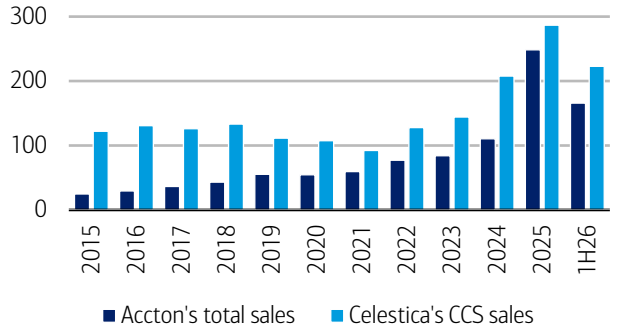
Exhibit 4: Accton's PEG of 0.29 is below peers' average of 0.73
PEG comparison: Accton vs. Greater China and global peers

Ticker	Company	P/E (x) 2028E	EPS CAGR 2026-28E	PEG 2028E	Sales CAGR 2026-28E	ROE 2028E
2345 TT	**Accton**	**12.0**	**42%**	**0.29**	**37%**	**54%**
CLS US	Celestica	14.6	48%	0.31	45%	41%
ANET US	Arista	36.6	21%	1.78	25%	27%
CSCO US	Cisco	20.0	21%	0.97	25%	27%
HPE US	HPE	13.4	12%	1.08	10%	31%
CIEN US	Ciena	26.3	55%	0.48	30%	55%
DELL US	Dell	19.3	72%	0.27	44%	n.a.
NOK US	Nokia	17.1	21%	0.82	9%	13%
2317 TT	Hon Hai	9.5	18%	0.52	17%	16%
6285 TT	Wistron NeWeb *	13.2	26%	0.51	19%	24%
2382 TT	Quanta	9.4	17%	0.57	19%	32%
Average		**17.9**	**31%**	**0.73**	**24%**	**30%**

Source: BofA Global Research estimates. *Non-covered forecasts based on Bloomberg consensus

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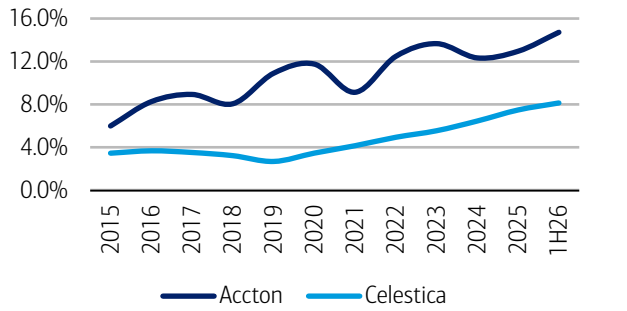
Exhibit 5: Celestica's CCS sales were 1.3x of Accton's total 1H26 sales
Sales (in NT$bn): Accton's total sales vs. Celestica's CCS sales, 2015-1H26



Source: BofA Global Research, TEJ, company data. CCS: Communications, Server, Storage

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Exhibit 6: Accton's OPM of 6.0-14.7% in 2015-1H26 has been much higher than Celestica's 2.7-8.1%
OPM comparison for Accton and Celestica, 2015-1H26



Source: BofA Global Research, Bloomberg, TEJ, company data

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Investment Thesis

We initiate coverage of Accton at Buy with a PO of NT$3,200 (implies 50% upside potential), based on 18x 2028E EPS. We see Accton as the AI networking/switch white-box leader, alongside Celestica (CLS US; covered by Ruplu Bhattacharya), poised to benefit from multi-year AI upcycle. Accton is expanding into optical/CPO, liquid cooling, and rack-level integration business to capture a larger portion of system value in AI.

We forecast Accton to post 37%/42% sales/EPS CAGR in 2026-28, with expanding OPM (Exhibit 41) on top of sustainable/high GM and ROE (Exhibit 48). We expect Accton's biggest switch segment (BofAe: 54-68% of 2026-28E sales; Exhibit 7) to post 52-157% YoY sales growth in 2026-28, thanks to spec upgrade to 800G/1.6T and broader product/client base.

Near-term catalysts: monthly sales, new customer/project win, Accton's 3Q26 results to be announced before mid-Nov (Exhibit 42), Celestica's 3Q26 results scheduled on 26 Oct US Time (with any positive implication/read-through to Accton at Celestica's earnings call on 27 Oct US Time), and clearer project pipeline with spec upgrade for ASIC into 2027.

Exhibit 7: We expect the biggest switch segment to contribute 54-68% of sales in 2026-28E
Key business summary of Accton, including sales mix, sales YoY growth, and GP mix by segments in 2026-28

	Sales mix %			Sales YoY growth %			GP mix %			
	26E	27E	28E	26E	27E	28E	26E	27E	28E	Summary & drivers
Switch	**54%**	**61%**	**68%**	**157%**	**52%**	**53%**	**61%**	**69%**	**75%**	**AI networking spec and content upgrade; new project/client win**
Network Application	44%	38%	31%	19%	15%	16%	37%	30%	24%	AI card as key driver with generation migration
Metro Access Switch	1%	1%	0%	0%	4%	0%	1%	0%	0%	For telecom; less important onwards
Wireless	0%	0%	0%	-11%	2%	0%	0%	0%	0%	Less important onwards
Other Service	1%	1%	0%	0%	-15%	0%	1%	1%	0%	Including NRE sales
Total	**100%**	**100%**	**100%**	**67%**	**35%**	**38%**	**100%**	**100%**	**100%**	

Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

AI platform migration & spec upgrade; more client/project

We project 37%/42% sales/EPS CAGR in 2026-28E, driven by CSPs' switch upgrade to 800G/1.6T, more project/client win, and rising white-box server/switch adoption among CSP clients. We highlight Accton's expanding partnership with its top CSP client in computing (with continued generation migration), optical, liquid cooling, and rack-level integration. We also expect another key CSP client to contribute double-digit% sales in 2027, thanks to share re-gain without 800G project delay. We see further sales/profit upside from more new clients (CSP/enterprise/telco) and JDM/rack business.

Solid BS/CF to support capacity expansion & new business

Accton keeps expanding capacity in Taiwan, Vietnam, Singapore, Malaysia, and US for existing high-end AI business and new optical/CPO/cooling business. We expect annual capex of NT$6-7bn in 2026-28E but believe the historical high capex can be supported by strong profitability, solid net cash position for around two decades, and positive FCF.

Attractive valuation with high sales/EPS growth and ROE

Accton's valuation and PEG both look attractive vs. peers, given higher sales/EPS growth and higher ROE (Exhibit 11). We believe its solid fundamentals are supported by the robust market position as networking/switch white-box leader, long history in networking/switch industry with proven track records, and ongoing R&D efforts. We view the Street's concern about 3Q26 margin pressure (BofA: GM/OPM of 18.7%/14.5%, vs. consensus of 18.9%/14.8%), due to higher component cost, has been well understood and reflected in share-price performance (-28% in 3Q26, vs. TAIEX +4%). We see any correction as a good buying opportunity to capture positive long-term outlook.

Key investment risks

We view the **key upside risks** for Accton include:

- Faster 800G/1.6T deployment by key customers, which may lead to higher sales growth and/or better margins;
- Easing component supply tightness/shortage, such as passive components, memory, processors, PCB/CCL/substrate;
- New client/project win, which may support further sales/margin expansion;
- Faster progress and development in optical/cooling business, which may drive further sales/margin expansion;
- Faster capacity expansion progress in Taiwan and/or overseas, which may support higher sales growth and/or more new project/client win;
- Favorable FX movement (mainly USD/NTD), which may help on GM with potential non-operating gain.

We view the **key downside risks** for Accton include:

- Key customers' AI product or project delay due to supply chain bottleneck, which may lead to slower spec migration to 800G/1.6T;
- Key customers' demand push-out due to component supply tightness/shortage, such as passive components, memory, processors, PCB/CCL/substrate;
- Key customers' demand push-out due to resign in chip/board level;
- GM pressure due to component cost inflation and/or unfavorable FX trend;
- Slower capacity expansion progress in Taiwan and/or overseas, which may cap sales growth or new project/client win;
- More intense peer competition, which may lead to market/order share loss;
- Unfavorable FX movement (mainly USD/NTD) or macro uncertainty, which may weigh on GM with potential non-operating loss.

Valuation: PO at NT$3,200

Our PO of NT$3,200 is based on 18x 2028E EPS (or around 26x 2027E EPS). In our view, the 18x P/E multiple looks justified given Accton's 37%/42% sales/EPS CAGR in 2026-28E, expanding OPM, sustainable/high GM and ROE, besides solid position in networking switch white box market.

The 18x target P/E represents around 1SD above Accton's historical trading average since 2008, the year in which the company first became profitable (Exhibit 2), and the mid-level of historical P/E range of 2-32x. We believe the above-average P/E multiple can be justified as stronger sales/EPS CAGR and higher margins than historical levels. 18x is below 20x our US analyst Ruplu Bhattacharya used for Celestica (CLS US; the key peer to Accton). We made a discount on Accton's P/E multiple given lower revenue share in global network/switching market and lower EPS CAGR in 2026-28E (Exhibit 4).

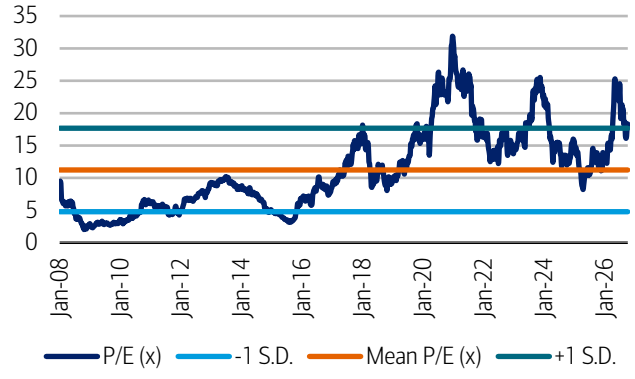
We use 2028 as the valuation base year to capture various future AI-related business opportunities which have been monitored and discussed by investors, including new CPO/cooling/rack business and new customers (CSPs, enterprises, start-ups). Our US analyst Ruplu Bhattacharya also uses 2028 as the valuation base year for Celestica.

In terms of P/E, Accton currently trades at 18x one-year forward P/E, 17x 2027E P/E, or 12x 2028E P/E, vs. the historical P/E trading average of 11x since 2008 when the company started making profits (Exhibit 8). Its 2027E and 2028E P/E are both below overall peers' average of 22x and 18x, respectively (Exhibit 11).

In terms of P/B, Accton currently trades at 8.7x one-year forward P/B, 8.1x 2027E P/B, or 5.4x 2028E P/B, above the historical trading average of 3.3x since 2007 (Exhibit 9). Its 2027E P/B of 8.1x is above overall peers' average of 6.4x, while 2028E P/B of 5.4x is below overall peers' average of 6.4x.

In terms of PEG, Accton's valuation looks attractive, with 0.29 PEG and 54% ROE in 2028E, vs. overall peers' average of 0.73 PEG and 30% ROE (Exhibit 10).

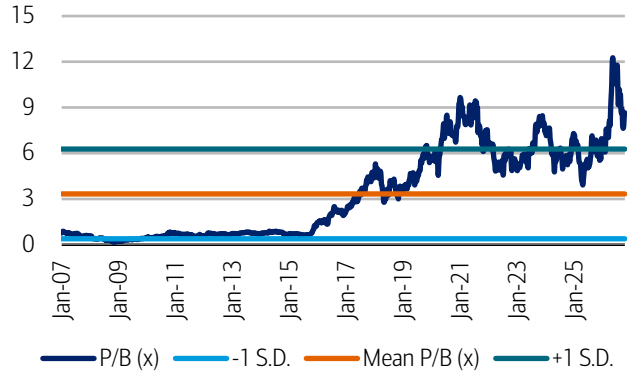
Exhibit 8: Accton's historical P/E trading average since 2008 is around 11x, vs. currently 18x one-year forward P/E
Accton's P/E trend and -1/+1 standard deviation since 2008



Source: BofA Global Research estimates, TEJ, Bloomberg

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Exhibit 9: Accton's historical P/B trading average since 2007 is around 3.3x, vs. currently 8.7x one-year forward P/B
Accton's P/B trend and -1/+1 standard deviation since 2007



Source: BofA Global Research estimates, TEJ, Bloomberg

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Exhibit 10: Accton's PEG of 0.29 is below peers' average of 0.73
PEG comparison: Accton vs. Greater China and global peers

Ticker	Company	P/E (x) 2028E	EPS CAGR 2026-28E	PEG 2028E	Sales CAGR 2026-28E	ROE 2028E
2345 TT	**Accton**	**12.0**	**42%**	**0.29**	**37%**	**54%**
Global peers						
CLS US	Celestica	14.6	48%	0.31	45%	41%
ANET US	Arista	36.6	21%	1.78	25%	27%
CSCO US	Cisco	20.0	21%	0.97	25%	27%
HPE US	HPE	13.4	12%	1.08	10%	31%
CIEN US	Ciena	26.3	55%	0.48	30%	55%
DELL US	Dell	19.3	72%	0.27	44%	n.a.
NOK US	Nokia	17.1	21%	0.82	9%	13%
Greater China peers						
2317 TT	Hon Hai	9.5	18%	0.52	17%	16%
6285 TT	Wistron NeWeb *	13.2	26%	0.51	19%	24%
2382 TT	Quanta	9.4	17%	0.57	19%	32%
Average		**17.9**	**31%**	**0.73**	**24%**	**30%**

Source: BofA Global Research estimates, Bloomberg. ROE refers to average ROE. Market data as of 2026/10/12 (Asia) or 10/09 (US).
*Non-covered company's forecasts based on Bloomberg consensus. PEG = 2028E P/E / 2026-28E EPS CAGR

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Exhibit 11: Accton trades at 12x 2028E P/E, vs. global peers' average of 21x and Greater China peers' average of 11x
Valuation comparison: Accton vs. Greater China and global peers

Ticker	Company	Share price (LC)	Market cap (US$mn)	P/E (x) 26E	P/E (x) 27E	P/E (x) 28E	P/B (x) 26E	P/B (x) 27E	P/B (x) 28E	Dividend yield (%) 26E	Dividend yield (%) 27E	Dividend yield (%) 28E	ROE (%) 26E	ROE (%) 27E	ROE (%) 28E	EV/EBITDA (x) 26E	EV/EBITDA (x) 27E	EV/EBITDA (x) 28E	Net cash (debt) to market cap 26E	Net cash (debt) to market cap 27E	Net cash (debt) to market cap 28E
2345 TT	**Accton**	**2,130.00**	**37,438**	**24.1**	**17.2**	**12.0**	**12.1**	**8.1**	**5.4**	**1.7**	**2.3**	**3.3**	**63.3**	**56.1**	**54.1**	**17.8**	**12.6**	**8.8**	**5%**	**8%**	**13%**
Global peers																					
CLS US	Celestica	362.16	45,695	31.8	18.5	14.6	12.8	7.5	5.0	0.0	0.0	0.0	48.3	51.8	41.3	21.5	12.6	10.0	0%	1%	2%
ANET US	Arista	216.74	273,358	53.3	44.2	36.6	15.5	11.4	8.6	0.0	0.0	0.0	34.6	30.1	27.2	44.4	36.1	29.7	2%	4%	6%
CSCO US	Cisco	118.39	466,763	29.1	24.2	20.0	8.5	6.2	4.7	0.0	0.0	0.0	34.6	30.1	27.2	44.4	36.1	29.7	2%	4%	6%
HPE US	HPE	73.46	97,516	17.0	14.5	13.4	5.8	4.6	3.8	1.4	1.3	1.3	35.5	35.7	31.0	15.6	13.9	13.3	-5%	-3%	0%
CIEN US	Ciena	449.77	63,781	63.3	37.7	26.3	21.3	17.6	11.6	0.0	0.0	0.0	36.2	52.8	55.2	44.3	27.7	19.6	-1%	-1%	1%
DELL US	Dell	586.06	372,624	56.9	22.2	19.3	n.m.	n.m.	21.4	0.4	0.4	0.5	n.m.	n.m.	n.m.	37.9	18.6	16.0	-5%	-4%	-4%
NOK US	Nokia	10.36	59,490	25.0	20.6	17.1	2.5	2.4	2.2	1.5	1.6	1.7	9.7	11.3	13.0	15.7	11.4	9.6	6%	7%	8%
Average				**39.5**	**26.0**	**21.1**	**11.0**	**8.3**	**8.2**	**0.5**	**0.5**	**0.5**	**33.2**	**35.3**	**32.5**	**32.0**	**22.4**	**18.3**	**0%**	**1%**	**3%**
Greater China peers																					
2317 TT	Hon Hai	244.50	107,804	13.3	11.2	9.5	1.7	1.6	1.4	3.8	4.5	5.3	13.8	14.8	15.7	9.8	8.5	7.1	-8%	-12%	-13%
6285 TT	Wistron NeWeb *	263.50	3,990	20.8	15.5	13.2	3.3	2.9	2.6	3.5	4.3	5.0	16.4	20.1	24.2	12.7	11.0	9.3	-8%	-5%	-10%
2382 TT	Quanta	322.00	41,431	12.7	10.9	9.4	3.3	2.9	2.6	5.9	6.9	8.0	33.7	31.0	31.8	10.8	8.7	7.5	-18%	-27%	-33%
Average				**15.6**	**12.5**	**10.7**	**2.8**	**2.5**	**2.2**	**4.4**	**5.2**	**6.1**	**21.3**	**22.0**	**23.9**	**11.1**	**9.4**	**8.0**	**-11%**	**-15%**	**-19%**
Overall average				**32.3**	**21.9**	**17.9**	**8.3**	**6.4**	**6.4**	**1.6**	**1.9**	**2.2**	**29.2**	**30.8**	**29.6**	**25.7**	**18.5**	**15.2**	**-3%**	**-4%**	**-4%**

Source: BofA Global Research estimates, Bloomberg. Market data as of 2026/10/12 (Asia) or 10/09 (US). ROE refers to average ROE. LC: local currency. *Non-covered company's forecasts based on Bloomberg consensus

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Business overview: Switch for datacenter as key driver amid AI uptrend

Accton established a strong position in white-box datacenter switching during the 2010s and has since become a key supplier to hyperscalers. According to third parties' data (including Qyresearch and Intelmarket), white-box datacenter switching TAM is expected to grow to US$7.8-8.1bn in 2032-34 from US$3.2-3.5bn in 2025 with an around 13% CAGR during the period. Accton has been the second largest white-box datacenter switching vendor following Celestica. We noted Accton's rising revenue share in global datacenter switching market, especially for top-4 US cloud datacenter switching market.

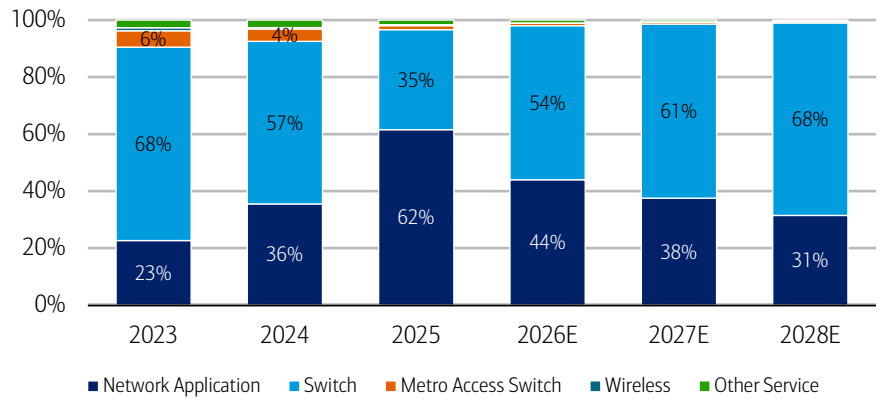
According to Dell'Oro, Accton had 7.0% of revenue share in global datacenter switching market in 2Q26, vs. 7.0%/5.6% in 1Q26/2Q25 and Celestica's 15.1% in 2Q26. In top-4 US cloud datacenter switching market, Accton's revenue share increased to 14.1% in 2Q26, vs. 13.3%/12.6% in 1Q26/2Q25 and Celestica's 36.6% in 2Q26. Its revenue share in tier-2, neo and other cloud also gradually increased to 3.1% in 2Q26, vs. 2.4%/2.8% in in 1Q26/2Q25. Within that hyperscale environment, Accton is also catching up with Celestica and OEM peers in front-end and AI back-end data center switching market. See more details from our US team's latest Switching Trend 2Q26 report published on 7 October 2026.

We see the Switch business for datacenter as the key sales/earnings driver for Accton amid AI uptrend. We expect the Switch business (including datacenter and non-datacenter like enterprise, campus, telecom) to contribute 54-68% of total sales in 2026-28. Switch for datacenter will become the biggest sub-segment in 2027-28 at 53-61% of total sales, vs. 18-42% in 2025-26, surpassing Network Application business.

Switch has historically been Accton's core business, while Network Application business, including AI accelerator cards, smart NICs, and other customized networking platforms, has become increasingly important amid strong hyperscaler AI investments. Metro Access Switch and Wireless are less meaningful in the future, in our view. Sales from Other Services should be relatively volatile as NRE sales are included (Exhibit 7).

We also see Accton's product portfolio increasingly aligned with AI datacenter infrastructure spending. Beyond switch and networking platforms, Accton is expanding into optics, liquid cooling, and rack-level integration, allowing it to capture a larger portion of system value within AI deployments. Management has highlighted optical technologies and liquid-cooled rack-scale solutions as key areas of development, in addition to AI accelerator modules and high-speed switches.

Exhibit 12: We expect rising sales mix from Switch at 54-68% in 2026-28, vs. 35-68% in 2023-25
Accton sales breakdown by segment, 2023-28



Source: BofA Global Research estimates, company data

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Industry-wise, we expect AI uptrend to continue into following years with ongoing spec migration into 800G/1.6T and beyond and continued ASIC platform launches/migration. We believe the ongoing sizable capex investments from top US CSPs indicate increasing datacenter investments and growing demand for higher-speed networking connectivity, which should benefit Accton as the key networking/switch white-box leader.

Our global team expects top-5 US CSPs' total capex to grow 99%/33% YoY in 2026/27, vs. up 55-72% YoY in 2024-25 (Exhibit 13). Our global semi team's supply chain check also reveals AWS Trainium 4 will be launched in 2H27-2028, after Google TPU v7 and AWS Trainium 3 in 2025 and two versions of Google TPU v8 in 2026 (Exhibit 14). They also expect Google TPU and AWS Trainium chip builds to grow to 8.5mn and 3.0mn units in 2027, respectively, vs. 5.1mn and 2.1mn units in 2026 (Exhibit 15).

Exhibit 13: Our global team expects top-5 US CSPs' total capex to grow 99%/33% YoY in 2026/27, vs. -2% to +72% YoY in 2016-25
Top-5 US CSPs' capex trend, 2016-27E

US$mn	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E
Meta	6,732	13,980	15,102	15,115	18,628	31,431	27,266	37,256	69,691	137,728	191,937
Amazon	11,955	13,426	16,861	40,141	61,053	63,645	52,729	82,999	131,819	221,310	302,000
Microsoft	8,696	14,223	13,546	17,592	23,216	24,768	35,202	55,552	83,094	175,427	203,747
Google	13,184	25,139	23,548	22,281	24,640	31,485	32,251	52,535	91,447	199,488	300,573
Oracle	2,037	1,468	1,591	1,833	3,118	6,678	6,935	10,745	35,477	83,576	93,020
Top-5 US CSPs	**42,604**	**68,236**	**70,648**	**96,962**	**130,655**	**158,007**	**154,383**	**239,087**	**411,528**	**817,529**	**1,091,277**
YoY %											
Meta	50%	108%	8%	0%	23%	69%	-13%	37%	87%	98%	39%
Amazon	53%	12%	26%	138%	52%	4%	-17%	57%	59%	68%	36%
Microsoft	-5%	64%	-5%	30%	32%	7%	42%	58%	50%	111%	16%
Google	29%	91%	-6%	-5%	11%	28%	2%	63%	74%	118%	51%
Oracle	27%	-28%	8%	15%	70%	114%	4%	55%	230%	136%	11%
Top-5 US CSPs	**28%**	**60%**	**4%**	**37%**	**35%**	**21%**	**-2%**	**55%**	**72%**	**99%**	**33%**

Source: BofA Global Research estimates, Bloomberg. Historical data from Bloomberg. All data based on calendar

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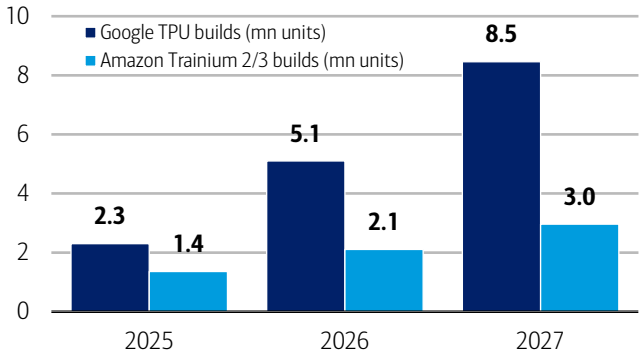
Exhibit 14: Our global semi team expects more ASIC generations from top CSPs, Google and Amazon, into 2027-28
Top CSPs Google and Amazon's ASIC pipeline in 2025-28

CSP	ASIC	Availability
Google	TPU v7 (Ironwood)	2025
	TPU v8t	2026
	TPU v8i	2026
Amazon/AWS	Trainium 2	2024
	Trainium 3	2025
	Trainium 4	2H27-2028

Source: BofA Global Research estimates

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Exhibit 15: Our global semi team expects TPU/Trainium chip builds to grow to 8.5mn/3.0mn units in 2027, vs. 5.1mn/2.1mn units in 2026
Google TPU and AWS Trainium chip builds forecast in 2025-27



Source: BofA Global Research estimates

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Switch business: accelerating shift toward higher speed datacenter networking

We believe Accton's strong sales and demand from datacenter switches will be supported by rising networking bandwidth requirements in AI clusters. The industry is moving from 400G toward 800G/1.6T Ethernet. Dell'Oro expects 2026 to mark the first year of volume deployment for 1.6T switches, driven by growing AI networking requirements, while switch capacity is advancing to 102.4T and beyond from 51.2T.

Accton launched its 51.2T/800G platforms in 2023 (Exhibit 16) and continues to expand its 400G/800G portfolio while developing 102.4T and 1.6T solutions (Exhibit 17).

In addition to higher unit demand, next-generation switch platforms should carry higher ASPs, as 800G/1.6T systems require more advanced silicon, faster SerDes, more sophisticated/higher-end PCB and signal-integrity designs, higher-speed optical interfaces, and more demanding power and thermal management.

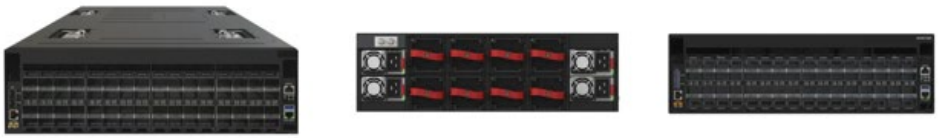
Exhibit 16: Accton's 51.2T 800G Ethernet switch platform targets AI/ML clusters and provides 51.2Tbps of Ethernet switching capacity, doubling throughput from the previous generation
Accton's 51.2T 800G Ethernet switch product example



Source: Accton

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Exhibit 17: Accton's 102.4T platform represents its next-generation datacenter switching solution, designed to support the rapidly rising bandwidth requirements of AI workloads
Accton's 102.4T Ethernet Switch product example



Source: Accton

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Network Application business: AI platform deployments also drive growth

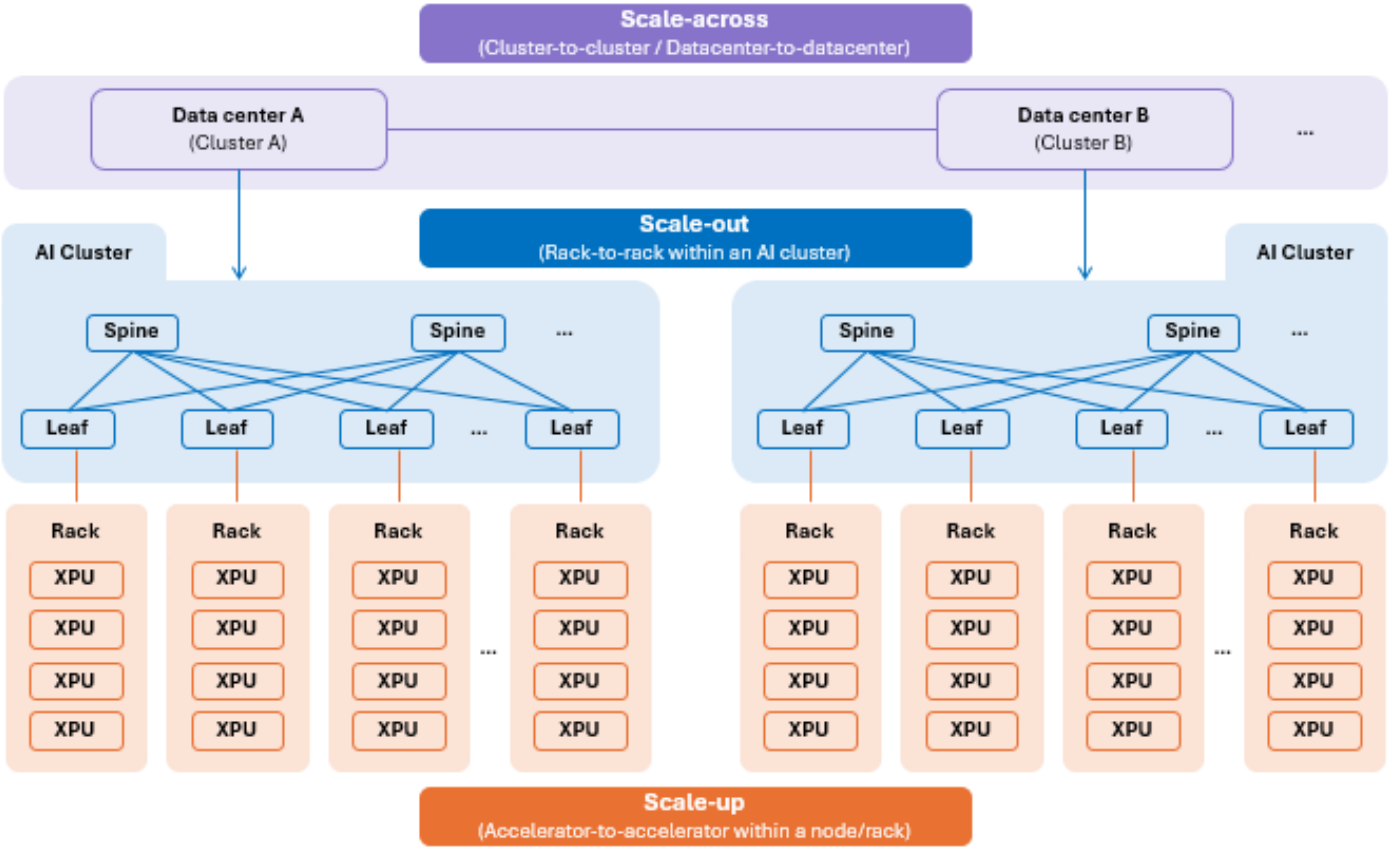
Accton's Network Application business includes AI accelerator cards, smart NICs, network interface products and customized networking and computing platforms. The segment expanded rapidly in 2023-25, with revenue contribution increasing to 62% from 23%, thanks to strong demand for AI-related accelerator cards and customized datacenter platforms for hyperscalers' AI deployments. The growing adoption of custom accelerators by hyperscalers creates attractive opportunities for ODM/JDM suppliers. As cloud customers seek to optimize performance and total cost of ownership, demand for customized hardware platforms, system integration and rack-level solutions has increased alongside investments in AI infrastructure.

We expect Network Application business to continue growing but at a more normalized pace after the initial AI-card ramp. As data center switch demand accelerates, the faster growth of the switch business should increasingly outweigh the contribution from Network Application to Accton's overall revenue growth, making Switch Accton's largest business segment.

AI networking architecture: scale-up, scale-out, scale-across; CPO/optical as future trend

Modern AI infrastructure relies on three complementary networking domains: scale-up connects accelerators within a node or tightly coupled rack domain, scale-out across racks and within a cluster/datacenter, and scale-across between clusters/datacenters. Each domain has different bandwidth, latency, and network requirements, but all three are becoming increasingly important as AI infrastructure grows in scale, complexity, and rising density.

Exhibit 18: AI infrastructure scales from accelerator connectivity within a node or rack, to rack-to-rack networking within a cluster/datacenter, and ultimately to cluster/datacenter interconnection
Scale-up, scale-out, and scale-across in AI networking architecture



Source: BofA Global Research, Broadcom

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Scale-up: rising demand for intra-system connectivity

Scale-up provides tightly coupled connectivity among accelerators within a node or rack-scale computing domain. These networks require extremely high bandwidth and ultra-low latency to support accelerator-to-accelerator communication and collective computing operations. Nvidia's NVLink currently dominates commercial deployments, while Ethernet and UALink are gaining momentum as hyperscalers increasingly deploy custom and merchant accelerators. According to Dell'Oro Group, scale-up networking TAM is expected to be more than double for switches deployed in AI back-end networks and should account for more than half of the AI back-end switch market by 2030.

Scale-up interconnects remain primarily copper-based currently as copper offers low latency, good signal integrity, and high stability in short distance (e.g. below 10 meters) with favorable cost and power characteristics. Our supply chain check suggests that optical connectivity may begin penetrating scale-up more meaningfully after 2H27 as rising bandwidth requirements push copper closer to its physical transmission limits.

For Accton, its scale-up exposure appears to be developing into an incremental business line. We see its business with the biggest CSP customer has expanded into scale-up switch trays, in addition to its existing scale-out switches and AI cards used in compute trays.

Scale-out: the core architecture for AI cluster expansion

Scale-out expands computing capacity by connecting more servers and racks within an AI cluster, typically through high-speed Ethernet or InfiniBand fabrics. In common leaf-spine architecture, leaf or top-of-rack (ToR) switches connect compute racks, while spine switches provide the high-speed backbone between leaf switches. Scale-out is a well-established architecture for AI cluster expansion and remains a major driver of AI back-end networking demand. See more in Appendix: What is leaf-spine architecture?

We believe scale-out represents Accton's largest and most immediate AI networking opportunity. Larger clusters require more leaf and spine switches, higher port speeds, and greater switching capacity, supporting the demand for Accton's 400G/800G/1.6T Ethernet platforms. Scale-out is also the primary near-term application for CPO-enabled Ethernet switches, as CPO can help address power, thermal, and signal-integrity constraints at higher switch bandwidths.

Scale-across: extending AI networking beyond individual clusters/datacenters

Scale-across connects separate AI clusters or datacenters, potentially across different buildings or locations, to support distributed computing and resource pooling. As power, cooling, and space constraints limit expansion within individual facilities, AI infrastructure begins to extend across multiple sites/locations, increasing demand for high-capacity and predictable inter-datacenter connectivity.

While commercial adoption remains at an early stage, scale-across represents the potential market for Accton beyond conventional Ethernet switching, particularly in long-reach optical networking and datacenter interconnection. The company has been developing relevant optical-switching technologies and has used its OWS technology in Taiwan-Japan cross-border IOWN field validation over real computing resources and network infrastructure. We see this development/project as early evidence of Accton's system-integration capabilities and potential role in future scale-across applications.

CPO: the potential next-gen architecture for AI switches

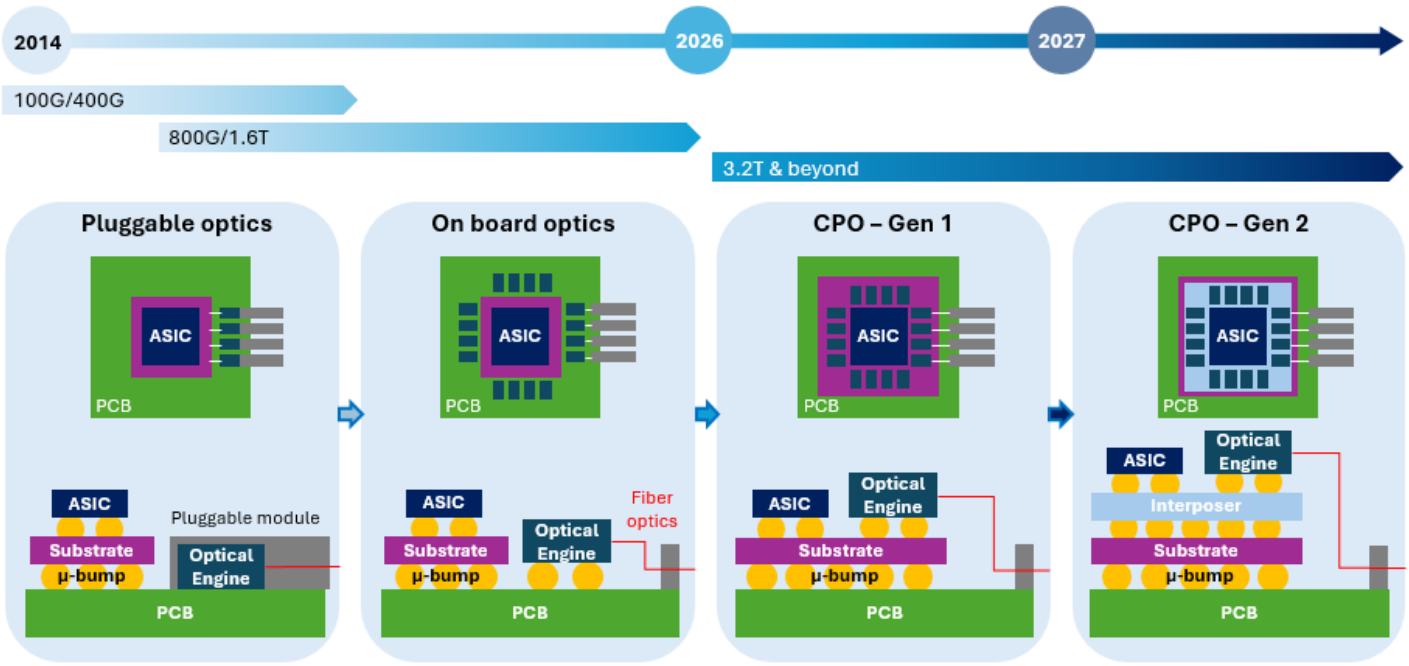
AI workloads are driving rapid increases in networking bandwidth and power consumption as infrastructure scales across scale-up, scale-out, and scale-across domains. The tougher requirement has led to bottlenecks in conventional electrical interconnects. We believe the transition toward optical networking could open new growth opportunities for Accton, where its exposure spans different layers of the optical networking stack, including CPO (co-packaged optics) for high-speed switch interconnects, OCS (optical circuit switch) for direct optical connectivity, and OWS (optical wavelength switch) for wavelength-level optical networking and DCI (Datacenter Interconnection).



The rapid growth of AI, cloud, and HPC workloads is driving exponential increases in datacenter computing and networking requirements. As AI clusters scale, traditional electrical interconnects are increasingly constrained by power consumption, signal integrity, and bandwidth density. Even pluggable optical transceivers are gradually approaching their physical and thermal limits at 800G and higher speeds.

To overcome these challenges, the industry is actively developing co-packaged optics (CPO), which integrate switch ASIC and optical engine within a single package, replacing traditional pluggable transceivers. By significantly shortening the electrical path between ASIC and optical engine, CPO can reduce power consumption and latency while improving signal integrity and bandwidth density. As Ethernet networking migrates from 400G to 800G, 1.6T, and eventually 3.2T, CPO theoretically becomes a key technology enabling the next-generation AI data-center networks.

Exhibit 19: CPO integrates optical engine and switch ASIC within a single package
Potential key trend of optical transceiver packaging in high-end data center

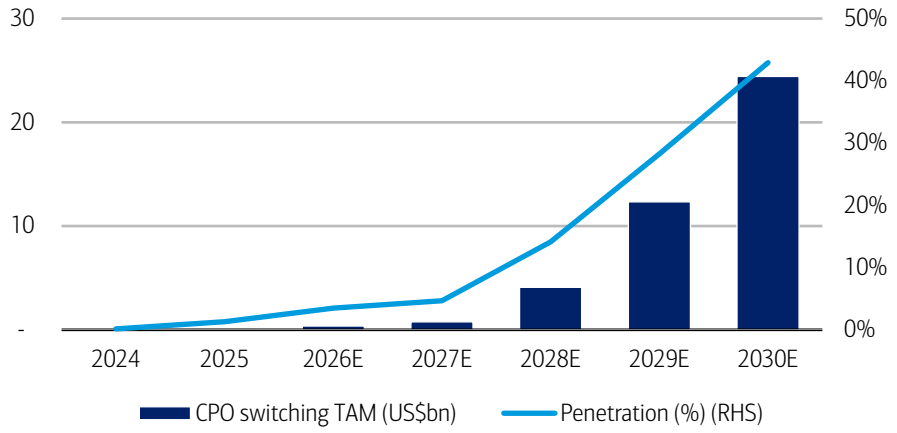


Source: BofA Global Research, IDTechEX

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In terms of addressable market, our US team expects CPO adoption to gain traction from 2027. CPO switch penetration is limited as of aggregate switch market today, with deployments largely limited to engineering samples. However, CPO is expected to begin scaling with more meaningful penetration after 2028. Our US team expects CPO switch TAM to reach US$24.4bn in 2030 from US$0.4bn in 2026, with 14-43% penetration in 2028-30, vs. 1-5% in 2025-27 (Exhibit 20). See our global team's US Semiconductors: Scaling AI with Photons: Primer on Optical Interconnects published on 9 March 2026.

Exhibit 20: Our US team views CPO is at the early stage now but expects a CPO switching TAM to reach US$24.4bn in 2030 (with 43% penetration) from US$0.4bn in 2026 (with 3% penetration)
CPO switching market size (in US$bn) and penetration, 2024-2030E



Source: BofA Global Research, Lightcounting

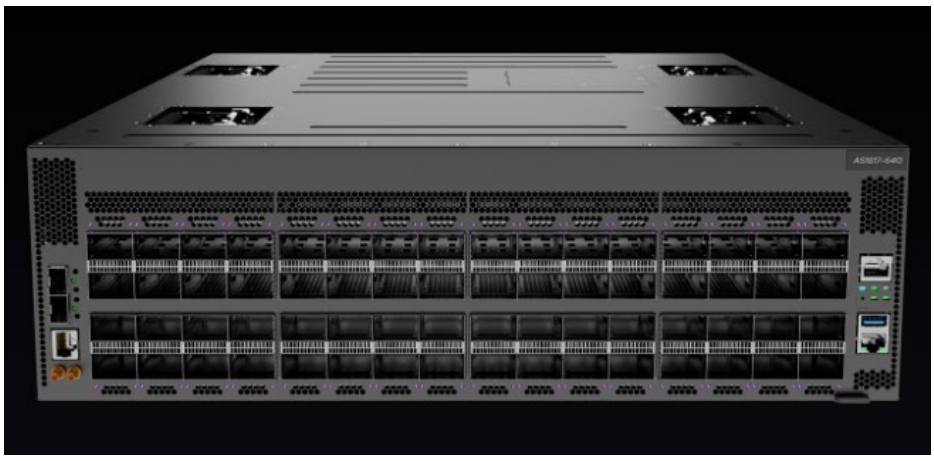
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For Accton, while commercialization remains at an early stage, we believe Accton's early investment in optical integration technologies positions the company favorably to benefit from the industry's migration toward CPO-based networking architectures.

The company has been investing in optical integration technologies for several years, positioning itself for the industry's transition from pluggable optics toward more integrated optical architectures. The company demonstrated an on-board optical engine solution as early as 2020 and has gradually expanded its networking portfolio from 400G to 800G and now 1.6T-class platforms.

We highlight Accton's latest 102.4T Ethernet switch, based on Broadcom's Tomahawk 6 ASIC (Exhibit 21). The platform supports both conventional OSFP1600 pluggable optics and a CPO configuration. Under the CPO architecture, the optical engine is integrated directly adjacent to the switch ASIC, helping mitigate power, thermal, and signal-integrity challenges associated with ultra-high-bandwidth networking.

Exhibit 21: 102.4T Ethernet Switch supports both pluggable optics and a CPO configuration
Accton's 102.4T Ethernet Switch product example



Source: Accton

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Beyond the 102.4T platform, Accton continues to advance toward more tightly integrated optical architectures. In 2025, its subsidiary Edgecore demonstrated a proof-of-concept CPO solution integrating optical engines and switch silicon within a single package, highlighting the group's long-term commitment to CPO development and next-generation optical networking.

We believe CPO could provide Accton with several strategic benefits. First, CPO increases the optical content per switch, creating opportunities for higher-value switch platforms compared with conventional pluggable architectures. Second, Accton's established position as a leading networking switch ODM, combined with its capabilities in switch design, optical integration, thermal management and system-level integration, could allow the company to capture a larger portion of the AI networking value chain as CPO adoption increases. Finally, the company's optical subsidiaries and growing ecosystem partnerships could further strengthen its ability to deliver integrated optical-networking solutions.

Potential optical technologies under watch: OCS and OWS

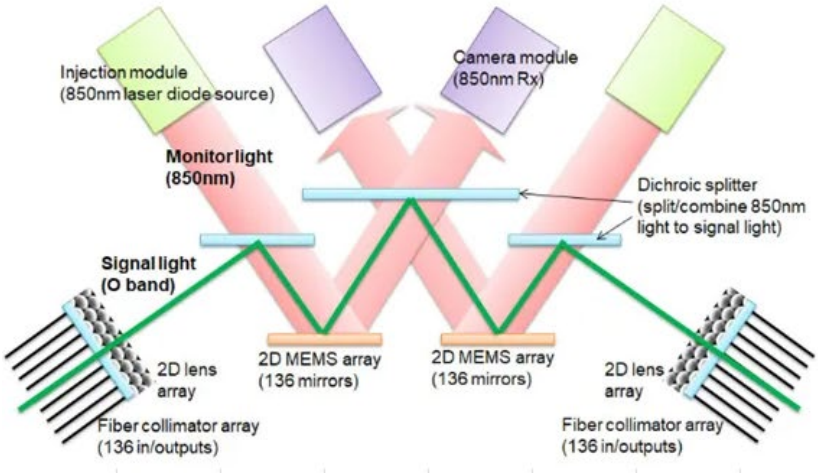
Although CPO significantly shortens the electrical path between switch ASIC and optical engine, data traffic may still require optical-electrical-optical (O-E-O) conversion when it traverses packet switches. As AI clusters continue to expand, the growing volume of data traffic increases network latency, power consumption, and switching overhead, creating bottlenecks beyond the switch level.

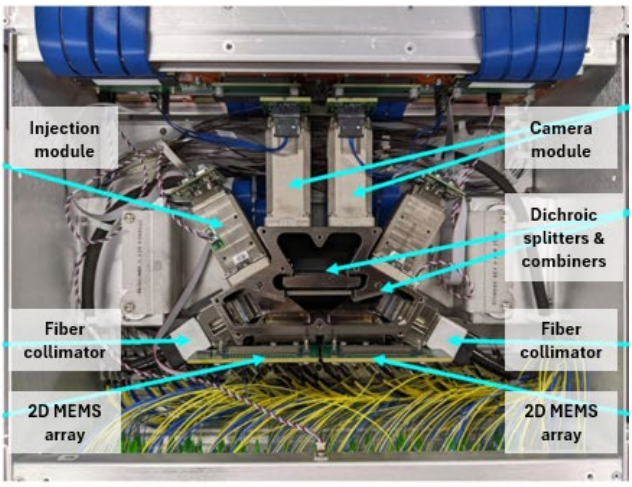
To address these challenges, the industry is increasingly exploring optical switch, which enables optical signals to remain in the optical domain while traversing the network. Compared with traditional Ethernet switching, optical switching reduces intermediate packet-processing stages and minimizes O-E-O conversions, potentially lowering power consumption and latency while improving network efficiency. Two complementary optical switching approaches are Optical Circuit Switching (OCS) and Optical Wavelength Switching (OWS). While OCS establishes dedicated optical paths between endpoints, OWS provides more granular control by dynamically routing individual wavelengths carried within an optical fiber. Our check suggests that OCS is currently for customized adoption only and OWS is at the initial/validation stage. The initial shipment/sales for Accton's OCS and OWS products may start from 2027.

OCS: enabling direct optical connectivity for AI clusters

Unlike traditional Ethernet architectures, OCS establishes dedicated optical paths between endpoints without processing individual packets. When two endpoints need to communicate, a controller dynamically configures the switch matrix to create a dedicated optical circuit between them. By enabling direct optical connectivity, reducing intermediate switching stages, and minimizing O-E-O conversions, OCS can lower latency and power consumption while improving network efficiency, providing a high-bandwidth optical layer for inter-rack and inter-cluster connectivity. Currently the largest OCS use case is from Google (MEMS-based). See more OCS introduction in our global team's US Semiconductors: Scaling AI with Photons: Primer on Optical Interconnects published on 9 March 2026.

Exhibit 22: OCS creates direct optical connections, reducing intermediate packet-switching stages and O-E-O conversions
Optical Circuit Switch diagram and example (MEMS-based example from Google)



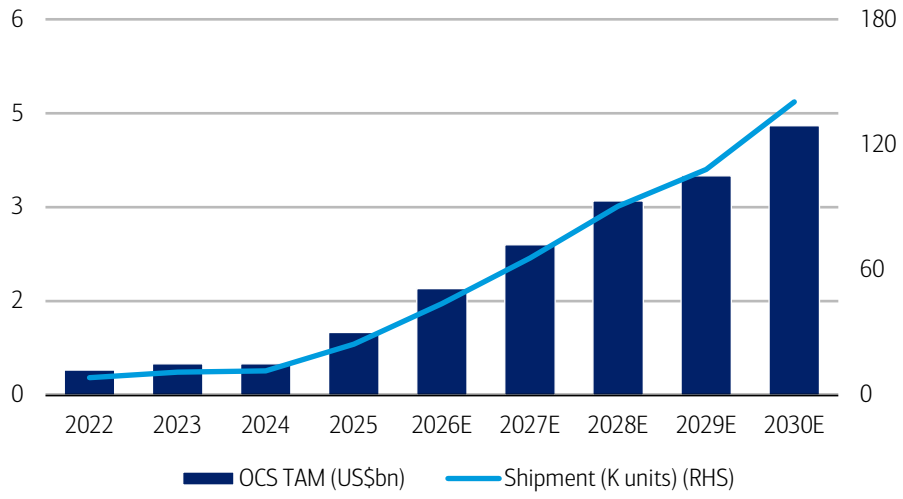


Source: BofA Global Research, Google

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Our US team expects OCS market to expand to US$4.3bn by 2030 from US$1.0bn in 2025, driven by accelerating adoption in AI and HPC networks (Exhibit 23). Despite an expected decline in ASPs as volumes scale, shipment growth is projected to remain robust, increasing to 140K units by 2030 from around 24K units in 2025.

Exhibit 23: Our US team expects OCS TAM to exceed US$4bn by 2030 with robust shipment growth
Global OCS market TAM (US$bn) and shipment (mn units), 2022-30E



Source: BofA Global Research estimates, LightCounting, 650 Group, Dell'Oro

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Accton began building its optical-switching capabilities through its investment in InLC Technology (a Korean private company) in 2024. The two companies collaborate on optical switch development for datacenter and DCI applications. InLC contributes expertise in LCoS-based (liquid crystal on silicon based) optical switching technologies, while Accton's experience in hyperscale networking and switch design provides a pathway toward system-level deployment.

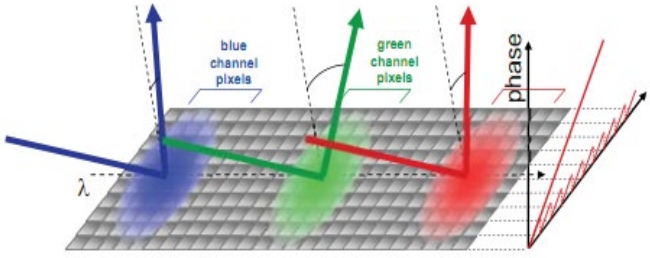
We believe Accton's position in OCS is different as it focuses on complete optical switch systems rather than individual optical components. While Taiwan's CPO ecosystem is mature across foundry, packaging, and optical components, the local supply chain for OCS system remains at an early stage. Accton is among the few Taiwanese networking companies directly developing OCS platforms, creating an opportunity to extend from conventional packet switching into the optical switch layer of future AI networks. Our supply chain check suggests that OCS products are in sampling and pilot-production stages. Combined with its expertise in high-speed Ethernet switches, optical integration, and rack-level infrastructure, we believe Accton could benefit from an early-mover advantage as the optical switch ecosystem develops in the coming years.

OWS: enabling flexible wavelength-level optical switching

While OCS establishes dedicated optical circuits between endpoints, Optical Wavelength Switching (OWS) provides more granular control by routing individual wavelengths within an optical fiber. Through wavelength-division multiplexing (WDM), multiple wavelengths can be transmitted simultaneously over a single fiber. OWS dynamically directs these wavelengths to different destinations, allowing optical bandwidth to be allocated more efficiently without processing traffic in the electrical domain or relying on repeated O-E-O conversions.

Exhibit 24: By controlling the phase of incident light at the pixel level, LCoS enables dynamic wavelength routing and forms the core technology behind many wavelength-switching systems

LCoS modulates and steers individual optical wavelengths

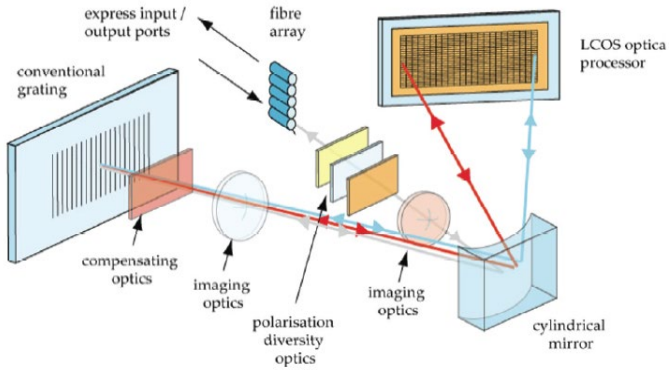


Source: FOSCO

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Exhibit 25: Incoming wavelengths are separated, dynamically redirected by the LCoS processor, and routed to different output ports without O-E-O conversion

LCoS-based OWS architecture



Source: FOSCO

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Accton's OWS development has reportedly progressed beyond the laboratory stage and is moving toward customer validation and commercialization through its subsidiary Edgecore. The company's flagship OWS platform, the IRX3032, supports 32 WDM channels, up to 800G coherent optics, and up to 25.6Tbps of optical bandwidth while operating entirely in the optical domain. According to Edgecore, the platform delivers 160ns end-to-end latency and supports point-to-point, ring, and full-mesh network topologies. The IRX3032 has also reportedly entered validation with a US CSP and NTT from Japan, suggesting continued progress toward commercial deployment.

Beyond standalone switch, Accton is positioning OWS as part of its broader all-photonics networking strategy. The IRX3032 has been incorporated into IOWN (Innovative Optical and Wireless Network) architecture, where optical switching is combined with high-speed Ethernet switches, transport equipment, and AI infrastructure. More importantly, Accton's OWS technology has already been used in Taiwan-Japan

cross-border validation based on real computing resources and network infrastructure, supporting applications such as real-time translation and AI-enabled traffic analytics. In our view, Accton's key advantages in OWS should be its ability to combine optical switch technology and established networking system experiences, via InLC's LCoS technology, Edgecore's OWS platform, and its expertise in high-speed Ethernet switches and system integration. Although the OWS market remains at an early stage, growing interest from hyperscalers and telecom operators in all-optical networking architectures could create new opportunities beyond conventional packet switching.

Exhibit 26: Accton's OWS IRX3032 is a 1U wavelength-programmable LCoS-based optical switch that supports 32 WDM to deliver ultra-low-latency optical routing
Edgecore's OWS IRX3032 product example



Source: Edgecore

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Key peer comparison: Celestica (CLS US)

Celestica (CLS US; covered by Ruplu Bhattacharya) is a leading EMS company based in North America. Celestica provides design, engineering, manufacturing, and hardware-platform solutions to OEMs and cloud service providers. Celestica was incorporated in Ontario, Canada in 1996. Prior to that, the company was an IBM manufacturing unit that provided manufacturing services to IBM for more than 75 years. It was acquired by Onex Corporation and Celestica management in 1996 and went publicly listed in 1998. Headquartered in Toronto, it operates across Americas, Europe, and Asia with around 45 sites globally. It is also expanding capacity in Texas (US) through a new campus. See also: Ruplu Bhattacharya's latest Celestica report published on 29 July 2026.

Celestica's overlap with Accton from key CCS segment

Celestica has two business units: CCS (Communications, Server, Storage) and ATS (Aerospace & Defense, Industrial, Capital Equipment, and HealthTech). The CCS segment is more relevant to Accton's business scope. As of 1H26, CCS contributed 81% of total sales and the remaining 19% came from ATS.

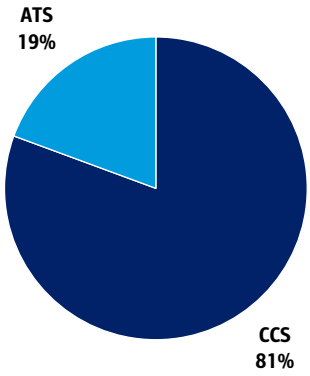
Exhibit 27: CCS segment, which is more relevant to Accton's business scope, contributed 81% of Celestica's total sales in 1H26
Celestica sales breakdown by segment, 2021-1H26

(%)	2021	2022	2023	2024	2025	1H26
CCS (Connectivity & Cloud Solutions)	**59%**	**59%**	**58%**	**67%**	**74%**	**81%**
- Communications	40%	39%	33%	40%	58%	58%
- Enterprise	19%	19%	25%	27%	17%	23%
ATS (Advanced Technology Solutions)	**41%**	**41%**	**42%**	**33%**	**26%**	**19%**

Source: BofA Global Research, company data

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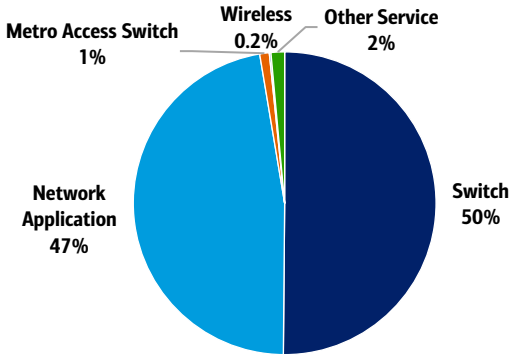
Exhibit 28: CCS contributed 81% of Celestica's total sales in 1H26, vs. 19% from ATS
Celestica's sales breakdown by segment, 1H26



Source: BofA Global Research, company data. CCS: Communications, Server, Storage. ATS: Aerospace & Defense, Industrial, Capital Equipment, and HealthTech

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Exhibit 29: Switch comprised 50% of Accton's total sales in 1H26, vs. 47% from Network Application and the remaining from Metro Access Switch, Wireless, and Other Service
Accton's sales breakdown by segment, 1H26



Source: BofA Global Research, company data

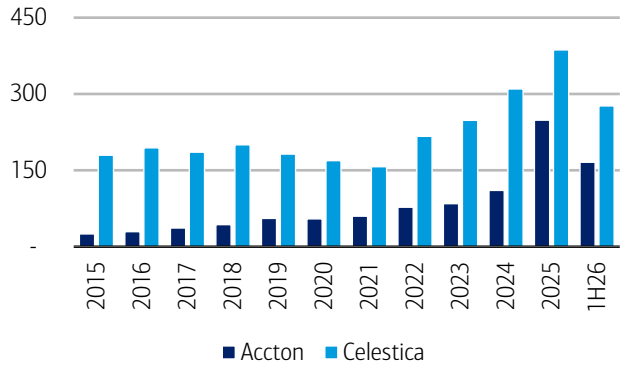
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Historical sales comparison: larger scale from Celestica

In terms of sales, Celestica had a larger scale than Accton, while the gap has narrowed substantially. Celestica's total sales were 1.6x/1.7x of Accton's total sales in 2025/1H26, narrowing from 7.3x in 2015 (Exhibit 30). We believe the sales scale difference reflected Celestica's broader business portfolio. Meanwhile, Celestica's sales from CCS business (which shares the similar end-market/applications with Accton) were 1.2x/1.3x of Accton's total sales in 2025/1H26, vs. 4.9x in 2015 (Exhibit 31).

Exhibit 30: Celestica's total sales were 1.6x/1.7x of Accton's total sales in 2025/1H26, narrowing from 7.3x in 2015

Total sales (in NT$bn) comparison: Accton vs. Celestica, 2015-1H26

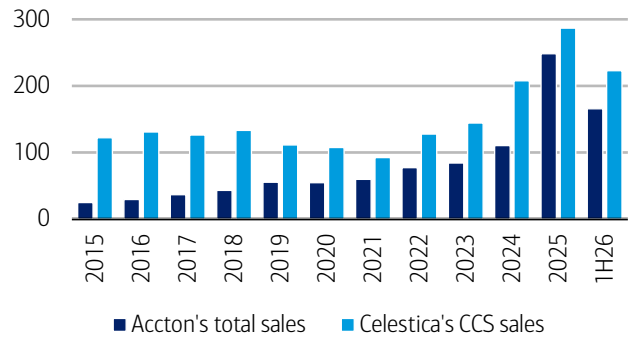


Source: BofA Global Research, TEJ, company data

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Exhibit 31: Celestica's sales from CCS business were 1.2x/1.3x of Accton's total sales in 2025/1H26, vs. 4.9x in 2015

Sales (in NT$bn) comparison: Accton's total sales vs. Celestica's CCS sales, 2015-1H26



Source: BofA Global Research, TEJ, company data. CCS: Communications, Server, Storage

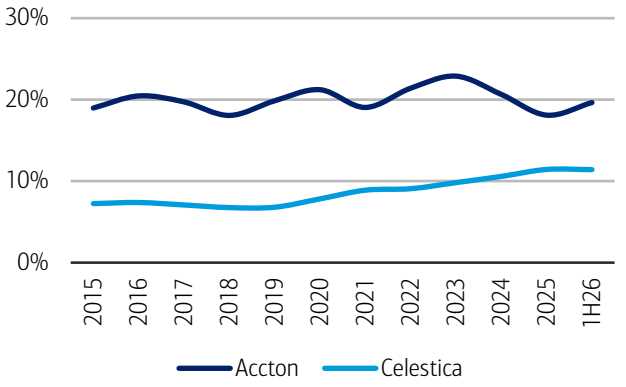
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Historical GM/OPM comparison: higher % from Accton

On the other hand, Accton has consistently had higher margins. Its GM/OPM in 2015-1H26 were 18.1-22.9%/6.0-14.7%, vs. Celestica's 6.7-11.4%/2.7-8.1% (Exhibit 32 and Exhibit 33). Celestica's CCS segment OPM was 7.4-8.2% in 2024-25, vs. 4.5-5.3% for the ATS segment, according to our Celestica analyst Ruplu Bhattacharya's assumptions.

Exhibit 32: Accton had higher GM of 18.1-22.9% in 2015-1H26 vs. Celestica's 6.7-11.4%

GM comparison for Accton and Celestica, 2015-1H26

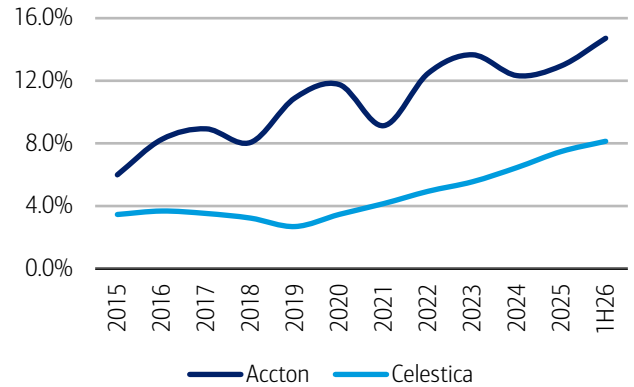


Source: BofA Global Research, Bloomberg, TEJ, company data

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Exhibit 33: Accton's OPM of 6.0-14.7% in 2015-1H26 has been much higher than Celestica's 2.7-8.1%

OPM comparison for Accton and Celestica, 2015-1H26



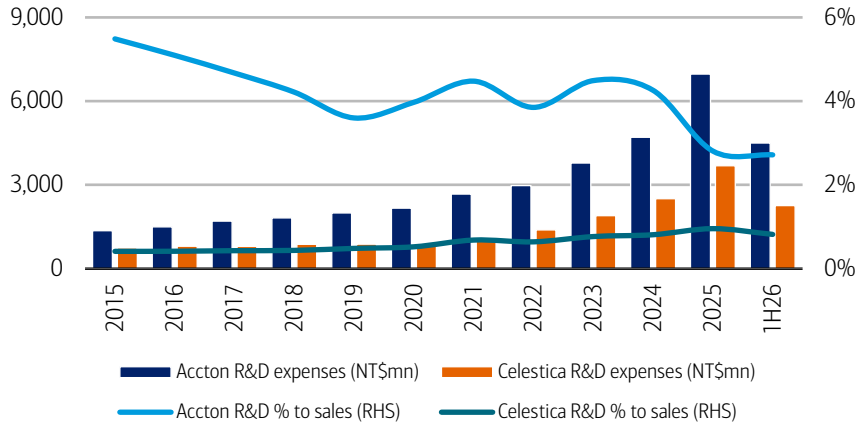
Source: BofA Global Research, Bloomberg, TEJ, company data

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Ongoing R&D efforts from both Accton and Celestica

Accton's R&D expenses had been around 2x of Celestica in absolute terms over 2015-1H26. Accton's R&D expenses to sales were 3-5%, vs. 0-1% for Celestica under Celestica's larger sales base (Exhibit 34). We believe both companies are putting R&D resources into AI rack-scale infrastructure-related business and more design-/engineering-led solution business.

Exhibit 34: Accton's R&D expenses were around 2x of Celestica over 2015-1H26
R&D expenses (in NT$mn) and R&D expenses % to sales: Accton and Celestica, 2015-1H26



Source: BofA Global Research, company data

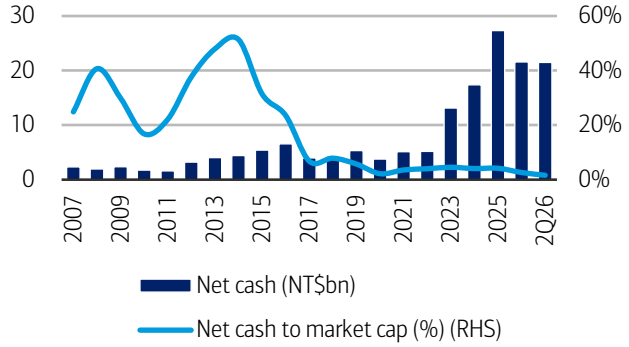
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Balance sheet & CF comparison: Accton vs. Celestica

Net cash position from Accton vs. net debt from Celestica

Accton has maintained a net cash position since 2007 (Exhibit 35), while Celestica has been in a net debt position since 2018 (Exhibit 36). As of 2Q26, Accton's net cash was 2% to market cap, vs. Celestica's 1% net debt to market cap. See more details on Accton's net cash position in Balance sheet: net cash position and high ROE.

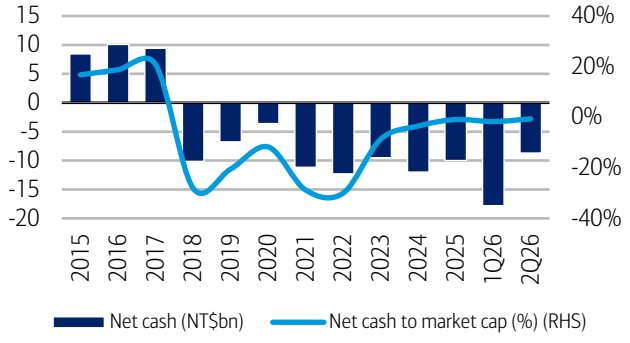
Exhibit 35: Accton has been in a net cash position since 2007. Its net cash was 2% to market cap, as of 2Q26
Accton's net cash (NT$bn) and net cash to market cap, 2007-2Q26



Source: BofA Global Research, TEJ, company data. Net cash = Cash & cash equivalent - Short-term borrowing - Current portion of long-term debt - Long-term liabilities. Market cap based on year-/quarter- end market cap

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Exhibit 36: Celestica has been in a net debt position since 2018. Its net debt was 1% to market cap, as of 2Q26
Celestica's net cash (in NT$bn) and net cash to market cap, 2015-2Q26



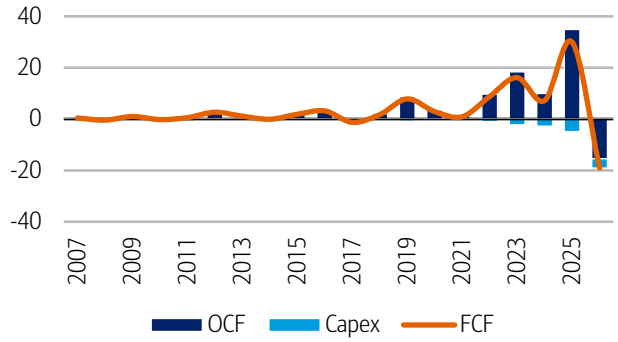
Source: BofA Global Research, Bloomberg, company data. Net cash = Cash & cash equivalent - Short-term borrowing - Current portion of long-term debt - Long-term liabilities. Market cap based on year-/quarter- end market cap

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More volatile FCF from Accton but both had positive FCF most of the time

Accton's historical FCF was more volatile than Celestica but had generated positive FCF in most of the years since 2007 (Exhibit 37). Celestica generated positive FCF every year except 2019 (Exhibit 38). In 1H26, Accton had FCF outflow of NT$19.1bn, vs. Celestica's FCF inflow of US$273.9mn (around NT$8.7bn), with stronger OCF more than offseting the higher capex. See more details on Accton's FCF in Cashflow analysis: negative OCF in 1H26 for higher working capital; higher capex for global expansion

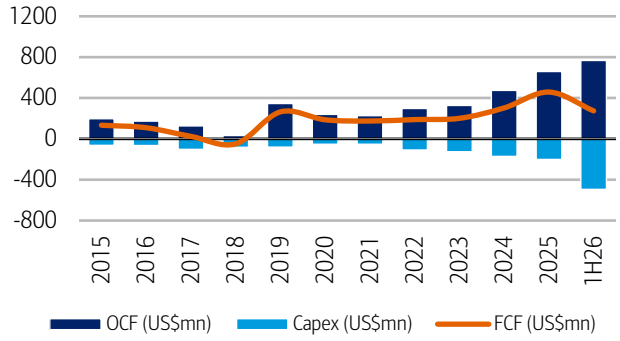
Exhibit 37: Accton has generated positive FCF in most of the years since 2007; it had FCF outflow of NT$19.1bn in 1H26
Accton's OCF, capex, and FCF trend (in NT$bn) in 2007-1H26



Source: BofA Global Research, TEJ, company data. Capex refers to purchase of fixed assets

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Exhibit 38: Celestica generated positive FCF every year except 2019; it had FCF inflow of US$273.9bn in 1H26
Celestica's OCF, capex, and FCF trend (in US$mn) in 2015-1H26



Source: BofA Global Research, Bloomberg, company data. Capex refers to purchase of fixed assets

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Financial analysis: 37%/42% sales/EPS CAGR in 2026-28

We project 37%/42% sales/EPS CAGR for 2026-28. Our 2026-28 EPS estimate is 3-5% above consensus (Exhibit 39). Our key assumptions are the following:

- **Sales:** We estimate 2026-28 sales to grow 35-67% YoY, mainly driven by strong AI market demand and ongoing spec/platform migration. We also reflected 3Q26 preliminary sales of NT$120.7bn (+26% QoQ, +66% YoY) into our forecast. Its monthly sales sustained at historical high levels in 3Q26 with solid YoY trend, indicating still robust market demand amid component shortage (Exhibit 40 and Exhibit 41). Our 3Q26 EPS forecast is 2% above consensus (Exhibit 42).
- **Margins**: We project 2026-28 GM of 19.3-20.1% and OPM of 14.8-16.1%, with improving product mix, rising sales scale, and stringent opex control. We also take high component cost into consideration.
- **Non-operating items, tax rate, and share count for EPS**: We follow the historical patterns for non-operating items and tax rate. We also assume no capital-raising plan in 2026-28.

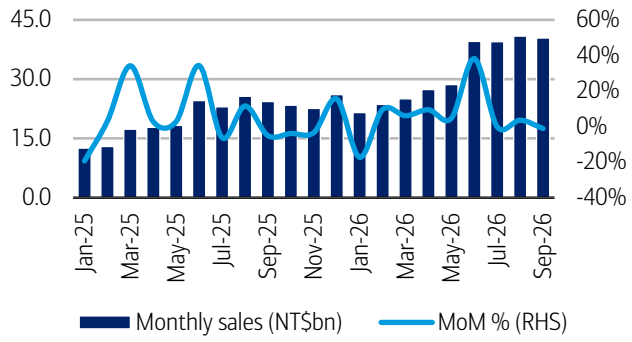
Exhibit 39: Our 2026-28 net income estimates are 3-5% above consensus
BofAe vs Bloomberg consensus, 2026-28E

	2026E			2027E			2028E		
NT$mn	**BofAe**	**Consensus**	**Diff (%)**	**BofAe**	**Consensus**	**Diff (%)**	**BofAe**	**Consensus**	**Diff (%)**
Sales	414,359	409,123	1%	558,071	541,327	3%	772,505	767,520	1%
Gross profit	79,933	78,556	2%	109,110	103,171	6%	155,499	148,047	5%
Operating profit	61,344	60,223	2%	86,377	81,596	6%	124,751	119,731	4%
Pretax profit	62,478	61,079	2%	87,486	82,773	6%	125,866	121,629	3%
Net income	49,449	48,180	3%	69,192	65,727	5%	99,579	96,420	3%
EPS (NT$)	88.27	86.05	3%	123.52	117.52	5%	177.77	172.25	3%
Margin %									
Gross margin	19.3%	19.2%	0.1 ppt	19.6%	19.1%	0.5 ppt	20.1%	19.3%	0.8 ppt
Operating margin	14.8%	14.7%	0.1 ppt	15.5%	15.1%	0.4 ppt	16.1%	15.6%	0.5 ppt
Pre-tax margin	15.1%	14.9%	0.1 ppt	15.7%	15.3%	0.4 ppt	16.3%	15.8%	0.4 ppt
Net margin	11.9%	11.8%	0.2 ppt	12.4%	12.1%	0.3 ppt	12.9%	12.6%	0.3 ppt

Source: BofA Global Research estimates, Bloomberg consensus

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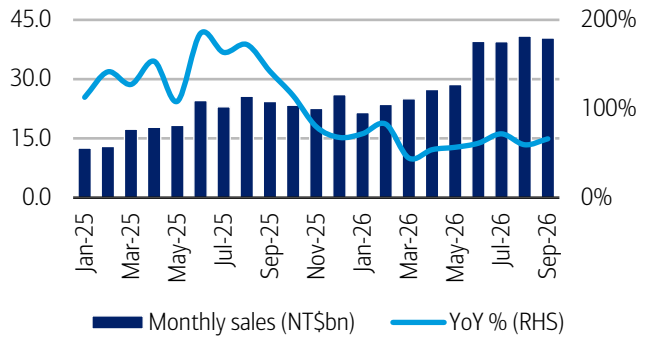
Exhibit 40: Accton's Jul/Aug/Sep'26 sales (flat/+4%/-1% MoM) sustained at historical high levels
Accton's monthly sales and MoM trend, Jan'25-Sep'26



Source: BofA Global Research, TEJ

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Exhibit 41: Accton's Jul/Aug/Sep'26 sales (+72%/+59%/+66% YoY) sustained at historical high levels
Accton's monthly sales and YoY trend, Jan'25-Sep'26



Source: BofA Global Research, TEJ

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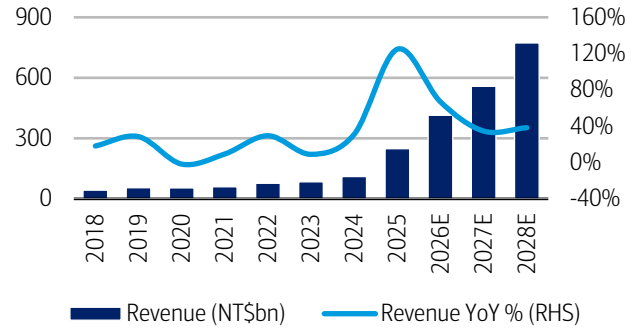
Exhibit 42: Our 3Q26 EPS forecast is 2% above consensus, after reflecting preliminary sales
3Q26 result preview: BofAe vs. consensus

NT$mn	3Q26E	QoQ %	YoY %	Consensus	Diff (%)	2Q26	3Q25
Sales	120,744	26%	66%	118,616	2%	95,538	72,947
Gross profit	22,639	20%	81%	22,384	1%	18,817	12,518
Operating profit	17,567	23%	95%	17,584	0%	14,326	9,001
Pretax profit	17,855	23%	84%	17,606	1%	14,563	9,708
Net income	14,292	29%	83%	14,040	2%	11,048	7,827
EPS (NT$)	25.51	29%	82%	24.92	2%	19.72	14.00
Margin %							
Gross margin	18.7%	-0.9 ppt	1.6 ppt	18.9%	-0.1 ppt	19.7%	17.2%
Operating margin	14.5%	-0.4 ppt	2.2 ppt	14.8%	-0.3 ppt	15.0%	12.3%
Pre-tax margin	14.8%	-0.5 ppt	1.5 ppt	14.8%	-0.1 ppt	15.2%	13.3%
Net margin	11.8%	0.3 ppt	1.1 ppt	11.8%	0.0 ppt	11.6%	10.7%

Source: BofA Global Research estimates, Bloomberg consensus

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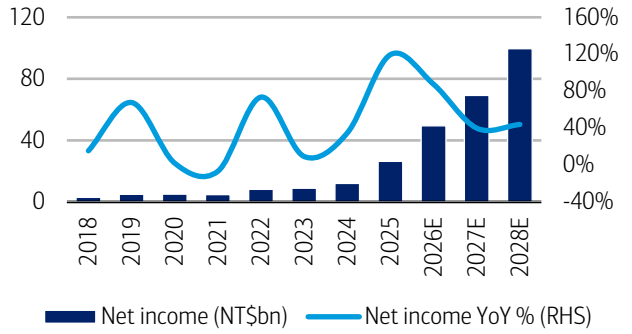
Exhibit 43: We model 2026-28 revenue CAGR at 37%
Accton's revenue and YoY trend, 2018-28E



Source: BofA Global Research estimates, company data

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Exhibit 44: We model 2026-28 net income CAGR at 42%
Accton's net income and YoY trend, 2018-28E



Source: BofA Global Research estimates, company data

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Exhibit 45: We model 2026-28E sales CAGR at 37% and EPS CAGR at 42%
Quarterly earnings summary, 2025-28E

NT$mn	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	2025	2026E	2027E	2028E
Sales	70,121	95,538	120,744	127,956	121,781	132,878	147,894	155,517	156,432	176,898	207,081	232,094	248,320	414,359	558,071	772,505
Gross profit	13,709	18,817	22,639	24,768	23,660	25,904	28,983	30,562	30,799	35,261	41,942	47,497	44,919	79,933	109,110	155,499
Operating profit	10,057	14,326	17,567	19,394	18,667	20,456	23,067	24,186	24,542	28,362	33,866	37,981	32,167	61,344	86,377	124,751
Pretax profit	10,370	14,563	17,855	19,690	18,941	20,729	23,350	24,467	24,819	28,640	34,146	38,260	32,949	62,478	87,486	125,866
Net income	8,349	11,048	14,292	15,760	15,160	15,762	18,688	19,582	19,863	21,775	27,325	30,616	26,374	49,449	69,192	99,579
EPS (NT$)	14.90	19.72	25.51	28.13	27.06	28.14	33.36	34.96	35.46	38.87	48.78	54.66	47.19	88.27	123.52	177.77
Margin %																
Gross margin	19.6%	19.7%	18.7%	19.4%	19.4%	19.5%	19.6%	19.7%	19.7%	19.9%	20.3%	20.5%	18.1%	19.3%	19.6%	20.1%
Operating margin	14.3%	15.0%	14.5%	15.2%	15.3%	15.4%	15.6%	15.6%	15.7%	16.0%	16.4%	16.4%	13.0%	14.8%	15.5%	16.1%
Pretax margin	14.8%	15.2%	14.8%	15.4%	15.6%	15.6%	15.8%	15.7%	15.9%	16.2%	16.5%	16.5%	13.3%	15.1%	15.7%	16.3%
Net margin	11.9%	11.6%	11.8%	12.3%	12.4%	11.9%	12.6%	12.6%	12.7%	12.3%	13.2%	13.2%	10.6%	11.9%	12.4%	12.9%
QoQ %																
Sales	-3%	36%	26%	6%	-5%	9%	11%	5%	1%	13%	17%	12%				
Gross profit	6%	37%	20%	9%	-4%	9%	12%	5%	1%	14%	19%	13%				
Operating profit	11%	42%	23%	10%	-4%	10%	13%	5%	1%	16%	19%	12%				
Pretax profit	1%	40%	23%	10%	-4%	9%	13%	5%	1%	15%	19%	12%				
Net income	0%	32%	29%	10%	-4%	4%	19%	5%	1%	10%	25%	12%				
YoY %																
Sales	64%	58%	66%	78%	74%	39%	22%	22%	28%	33%	40%	49%	125%	67%	35%	38%
Gross profit	59%	73%	81%	92%	73%	38%	28%	23%	30%	36%	45%	55%	97%	78%	37%	43%
Operating profit	69%	76%	95%	113%	86%	43%	31%	25%	31%	39%	47%	57%	136%	91%	41%	44%
Pretax profit	64%	120%	84%	91%	83%	42%	31%	24%	31%	38%	46%	56%	118%	90%	40%	44%
Net income	61%	119%	83%	89%	82%	43%	31%	24%	31%	38%	46%	56%	120%	87%	40%	44%

Source: BofA Global Research estimates, company data

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Balance sheet: net cash position and high ROE

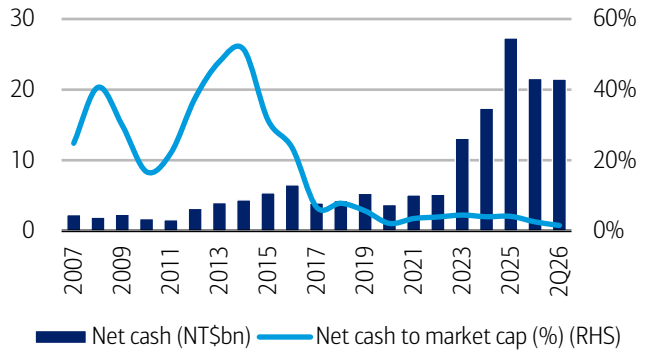
Accton has maintained a net cash position since 2007. We believe it reflects the robust cash-generation capability, supported by sustained profitability and healthy free cash flow. As of 2Q26, its net cash stood at NT$21.5bn or 2% of its market cap, vs. 3% in 1Q26, 2-8% in 2017-25, and 17-51% in 2007-16 (Exhibit 46). Accton had a higher net cash to market cap% before 2016 as its market cap jumped significantly from 2017.

Accton's cash conversion cycle (CCC) days have been low at nearly or below two months. It was 31 days in 2Q26, vs. 15 days in 1Q26 and 11-63 days in 2007-25 (Exhibit 47). We attribute the low CCC days to long A/P days, with A/R days and inventory days sustained at stable levels. We believe its CCC days reflected efficient working-capital management, faster inventory turnover amid robust AI networking demand, strong bargaining power as networking ODM leader, and mature supply chain management.

In terms of DuPont analysis, we expect Accton's ROE to remain high at 45-50% in 2026-28E (Exhibit 48) with continued net margin expansion (Exhibit 49) and lower financial leverage and asset turnover. We view the ROE sustainability as a reflection of a strong balance sheet with retained earnings accumulation and cash build-up.

Exhibit 46: Accton has been in a net cash position and was 2% net cash to market cap in 2Q26, vs. 3% in 1Q26, 2-8% in 2017-25, and 17-51% in 2007-16

Accton's net cash and net cash to market cap, 2007-2Q26

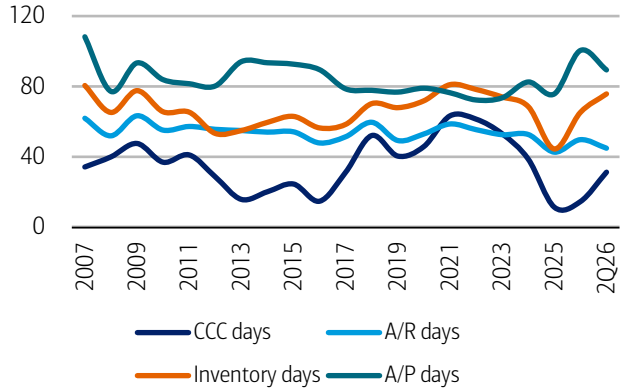


Source: BofA Global Research, TEJ, company data. Net cash = Cash & cash equivalent - Short-term borrowing - Current portion of long-term debt - Long-term liabilities. Market cap based on year-/quarter- end market cap

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Exhibit 47: Accton's CCC days have been low. It was 31 days in 2Q26, vs. 15 days in 1Q26 and 11-63 days in 2007-25

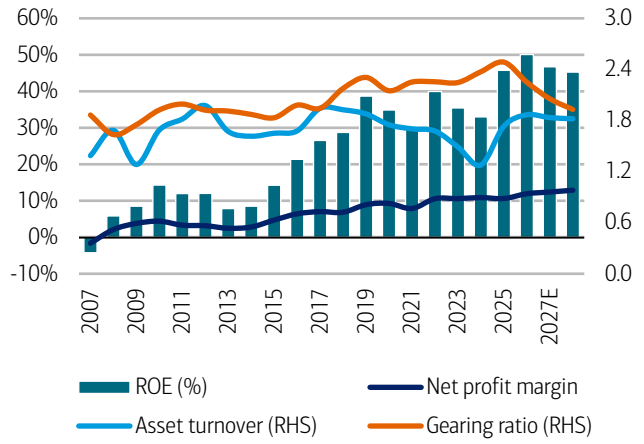
Accton's cash conversion cycle, 2007-2Q26



Source: BofA Global Research, TEJ, company data. Annual A/R days = 365 / (annual sales / average accounts & notes receivable). Quarterly A/R days = 365 / 4 / (quarterly sales / average accounts & notes receivable). Annual inventory days = 365 / (annual COGS / average inventories). Quarterly inventory days = 365 / 4 / (quarterly COGS / average inventories). Annual A/P days = 365 / (annual COGS / average accounts & notes payable). Quarterly A/P days = 365 / 4 / (quarterly COGS / average accounts & notes payable

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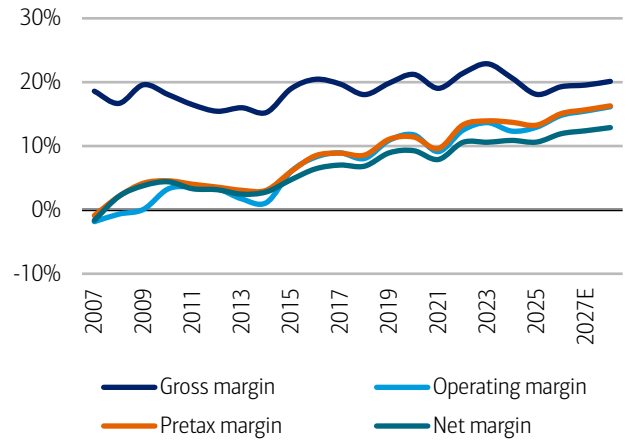
Exhibit 48: We expect Accton's ROE to remain high at 45-50% in 2026-28E with continued net margin expansion
Accton's DuPont analysis, 2007-28E



Source: BofA Global Research estimates, TEJ, company data. ROE refers to average ROE

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Exhibit 49: We expect Accton's GM to sustain at 19.3-20.1% in 2026-28E with expanding operating/pretax/net margins
Accton's margin trend, 2007-28E



Source: BofA Global Research estimates, TEJ, company data

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Cashflow analysis: negative OCF in 1H26 for higher working capital; higher capex for global expansion

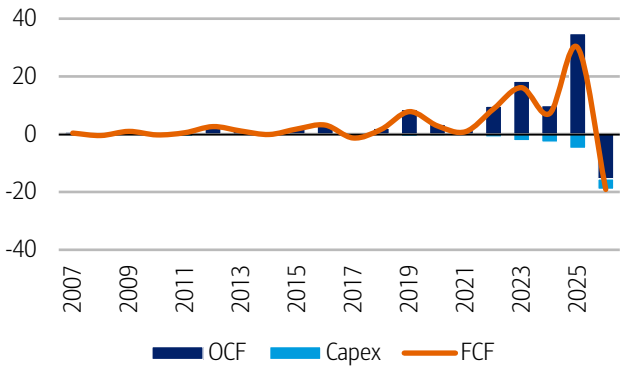
Accton has generated positive FCF in most of the years since 2007 (Exhibit 50), supported by generally positive OCF and relatively disciplined capex. It had FCF outflow of NT$19.1bn in 1H26, with OCF outflow of NT$15.5bn (for higher working capital) and high capex of NT$3.7bn (for ongoing capacity expansion). We believe the higher working capital in 1H26 was for strategic raw material procurement/preparation amid supply shortage and cost inflation. Historically in 2007-25, its FCF ranged from outflow of NT$1.3bn to inflow of NT$30.0bn, with OCF inflow except 2008 and 2017.

In 2026-28, we expect Accton to generate FCF inflow of NT$38.6-89.7bn, supported by strong profitability, which more than offsets the higher working capital and capex required for global capacity expansion.

Looking at capex, Accton's annual capex has accelerated from 2023, reaching NT$2.2-4.9bn during 2023-2025, vs. NT$112-952mn in 2007-2022 (Exhibit 51). The increase primarily reflects the company's multi-year global capacity expansion plans and R&D efforts. We forecast capex to remain at a historically high NT$6.0-7.0bn annually in 2026-28E, mainly supporting new capacity in Vietnam, Singapore, Malaysia, and Dallas (US), as well as continued expansion/renewals for the existing facilities.

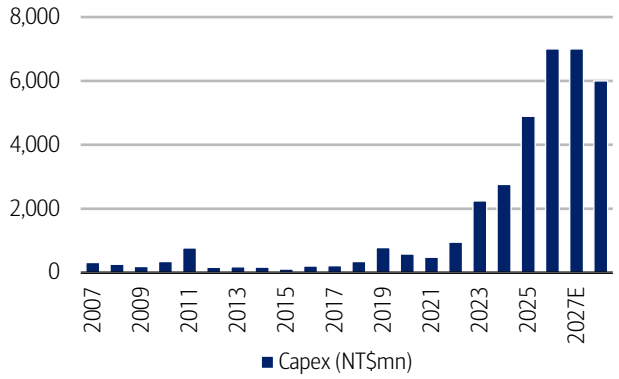
As for financing activities, historically Accton has undertaken limited external financing with only CB issuances. No capital raising or capital reduction was conducted. As of end-2025, no corporate bond was outstanding. We thus assume no capital-raising plan in 2026-28. We believe bank borrowing will be the key method for financing needs.

Exhibit 50: Accton has generated positive FCF in most of the years since 2007; it had FCF outflow of NT$19.1bn in 1H26, vs. outflow of NT$1.3bn to inflow of NT$30.0bn in 2007-25
Accton's OCF, capex, and FCF trend (in NT$bn) in 2007-1H26



Source: BofA Global Research, TEJ, company data. Capex refers to purchase of fixed assets
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Exhibit 51: We project Accton's annual capex at NT$6.0-7.0bn in 2026-28E, vs. NT$0.1-4.9bn in 2007-25
Accton's capex trend (in NT$mn) in 2007-28E



Source: BofA Global Research estimates, company data. Capex refers to purchase of fixed assets
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Ongoing capacity expansion in Taiwan and overseas

Accton currently has 4 sites in Taiwan, 3 in US, 1 in Vietnam and 1 in Netherlands (Exhibit 51). The company continues to expand its global manufacturing network to support local demand. Based on our checks, five sites are under expansion now.

In Taiwan, production at Taoyuan facility started ramp-up in 3Q26. Hsinchu site is being converted into a new production line. In August 2026, Accton announced to rent lands in Nanliao (南寮) in Hsinchu with around 30,865.90 pings (or 102,036 square meters). We believe its Taiwan facilities will be more dedicated to high-end AI products.

Overseas, Accton also announced to rent lands and buildings in Vietnam and Singapore. It plans to add the third manufacturing facility in Vietnam, to ramp its Dallas (US) site for rack-level business, and to commence production at new facilities in Singapore and Malaysia. We believe Malaysia will be a key hub for cooling products from 2027, vs. optical/CPO in Singapore.

Exhibit 52: Accton is expanding capacity across Taiwan, Asia, and the US
Accton's global footprint and capacity expansion plan

Location	Site	Main function	Expansion plan
Taiwan	Zhubei	Manufacturing, tech support, RMA, warehouse	
	Zhunan	Manufacturing	
	Hsinchu	R&D, tech support, RMA, warehouse	Warehouse space to be converted for a new production line, starting production in 2027
	Taoyuan	R&D, manufacturing	Small-volume production has commenced; production started ramp-up in 3Q26
China	Shenzhen (JoyTech)	Manufacturing, RMA	
Vietnam	Vinh Phuc	Manufacturing	A third facility is planned to support additional high-end product capacity
Singapore	Singapore	Primarily R&D labs	Expansion planned for 2026-27 to support optical/CPO business
Malaysia	Malaysia	Primarily manufacturing	Expansion planned for 2026-27 to support liquid cooling business
US	San Jose, California	Tech support, R&D, sales	
	Sunnyvale, California	R&D, tech support	
	Irvine, California	Manufacturing, R&D, sales, RMA, warehouse	
	Dallas, Texas	Primarily manufacturing, rack-level integration	Equipment installation expected by end-2026, followed by mass production in 2027
Netherlands	Eindhoven	RMA, warehouse	

Source: BofA Global Research estimates, company data
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Exhibit 53: We expect Accton to stay in a net cash position with stronger cash-generation capability in 2026-28E
Accton's balance sheet, 2018-28E; we assume no capital-raising plan in 2026-28E

Balance sheet (NT$mn)	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & deposits	4,296	6,222	4,895	6,258	8,695	14,070	18,116	27,891	58,080	98,920	160,965
A/R & N/R	7,986	6,971	8,848	10,316	13,139	11,119	20,763	37,275	62,199	83,772	115,960
Inventory	7,814	8,717	8,179	13,246	12,788	13,551	19,371	30,202	49,657	66,664	91,616
Other current assets	778	5,139	6,519	1,963	7,260	11,251	12,389	25,700	25,700	25,700	25,700
Total current assets	20,874	27,049	28,440	31,782	41,883	49,991	70,639	121,067	195,636	275,056	394,241
L-T investments	17	14	13	12	10	8	71	1,012	1,012	1,012	1,012
Tangible fixed assets	967	1,324	1,502	1,487	1,804	3,181	5,445	9,228	13,599	16,726	17,961
Goodwill & intangible assets	36	55	76	109	168	178	1,016	771	571	371	171
Total other assets	485	1,078	1,091	1,631	2,195	3,217	9,295	11,153	11,153	11,153	11,153
Total assets	**22,378**	**29,521**	**31,123**	**35,021**	**46,061**	**56,576**	**86,467**	**143,231**	**221,971**	**304,317**	**424,538**
Short term debt	0	0	0	0	0	133	175	333	492	492	492
Payables	8,751	9,935	8,639	11,567	12,478	13,681	25,955	58,486	96,160	129,094	177,413
Current portion of long-term debt	0	0	0	175	926	301	302	159	0	0	0
Other current liabilities	3,318	5,302	6,192	5,901	8,164	14,964	20,489	23,206	23,206	23,206	23,206
Total current liabilities	12,068	15,238	14,831	17,643	21,568	29,080	46,920	82,184	119,858	152,792	201,111
Long term debt	0	921	1,163	1,003	2,605	538	281	84	84	84	84
Other liabilities	31	560	645	822	1,460	1,771	2,831	3,328	3,328	3,328	3,328
Total other liabilities	31	1,480	1,808	1,825	4,065	2,308	3,112	3,412	3,412	3,412	3,412
Total liabilities	**12,100**	**16,718**	**16,640**	**19,468**	**25,633**	**31,388**	**50,032**	**85,596**	**123,270**	**156,204**	**204,523**
Share capital	5,576	5,581	5,595	5,599	5,601	5,604	5,611	5,611	5,611	5,611	5,611
Reserves	1,848	2,154	2,668	3,191	3,676	4,512	5,428	6,781	9,419	14,364	21,283
Retained earnings	3,206	5,655	6,742	7,308	11,664	15,562	22,443	41,330	79,758	124,225	189,208
Treasury stock	-51	-51	-51	-51	-51	-51	-51	-51	-51	-51	-51
Minority equity	7	3	3	0	0	0	108	96	96	96	96
Capital adjustment	-307	-538	-473	-495	-462	-438	2,896	3,868	3,868	3,868	3,868
Total equity	**10,279**	**12,803**	**14,483**	**15,553**	**20,428**	**25,188**	**36,435**	**57,635**	**98,700**	**148,113**	**220,015**
Total liabilities and equity	**22,378**	**29,521**	**31,123**	**35,021**	**46,061**	**56,576**	**86,467**	**143,231**	**221,971**	**304,317**	**424,538**
Net cash (debt)	**4,296**	**5,301**	**3,731**	**5,079**	**5,164**	**13,099**	**17,359**	**27,314**	**57,504**	**98,344**	**160,389**

Source: BofA Global Research estimates, company data. Net cash = Cash & cash equivalent - short-term borrowing - long-term liabilities

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Exhibit 54: Accton's cash increase in 2026-28E mainly reflects increasing profits despite ongoing capex investment and dividend payout
Accton's cash flow statement, 2018-28E; we also assume no capital-raising plan in 2026-28E

Cash flow statement (NT$mn)	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Net profit	2,952	4,950	5,048	4,705	8,166	8,920	12,013	26,374	49,449	69,192	99,579
Depreciation	266	508	636	722	805	878	1,071	1,551	2,629	3,874	4,764
Amortization	27	31	39	44	62	75	91	176	200	200	200
Total gross cash flow	3,246	5,490	5,723	5,472	9,032	9,874	13,176	28,101	52,277	73,266	104,543
Change in total working capital	-1,476	1,297	-2,635	-3,607	-1,455	2,461	-3,190	5,187	-6,705	-5,646	-8,821
Other adjustments	285	1,825	384	-496	2,146	6,036	-43	1,564	0	0	0
Total operating cash flow	**2,055**	**8,611**	**3,472**	**1,368**	**9,723**	**18,371**	**9,942**	**34,852**	**45,573**	**67,620**	**95,722**
Capex	-346	-779	-581	-480	-952	-2,245	-2,762	-4,894	-7,000	-7,000	-6,000
Change in other assets	848	-4,284	-917	4,380	-5,123	-3,421	3,121	-14,805	0	0	0
ST & LT investment	-27	0	0	0	-30	0	-98	550	0	0	0
Total investment cash flow	**474**	**-5,063**	**-1,498**	**3,900**	**-6,104**	**-5,666**	**262**	**-19,149**	**-7,000**	**-7,000**	**-6,000**
Change in gross debt	0	921	243	-160	1,602	-1,934	-216	-38	0	0	0
Others	40	-83	-164	-160	462	-937	-418	-477	0	0	0
Dividend	-2,291	-2,222	-3,449	-3,622	-3,346	-4,185	-5,582	-6,148	-8,384	-19,780	-27,677
Total financing cash flow	**-2,250**	**-1,384**	**-3,370**	**-3,943**	**-1,282**	**-7,056**	**-6,215**	**-6,663**	**-8,384**	**-19,780**	**-27,677**
Exchange influence	73	-238	68	38	101	-275	635	156	0	0	0
Change in cash	**352**	**1,926**	**-1,327**	**1,363**	**2,438**	**5,375**	**4,623**	**9,197**	**30,189**	**40,840**	**62,045**
FCF	**1,709**	**7,832**	**2,891**	**888**	**8,772**	**16,126**	**7,181**	**29,958**	**38,573**	**60,620**	**89,722**

Source: BofA Global Research estimates, company data. Free cash flow (FCF) = operating cash flow (OCF) - capital expenditure (capex)

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Company Description

Accton is a leading Taiwan-based networking/switch white-box ODM/JDM/solution provider. Its product offering includes datacenter/server switch, enterprise switch, metro Ethernet switch, smart network interface card, router, 5G gateway, edge-computing server, and wireless networking equipment. Accton is also expanding into high-speed optics, liquid cooling, and rack integration for next-generation AI infrastructure.

Accton was founded on 9 February 1988 and went publicly listed on Taiwan Stock Exchange on 15 November 1995. The company has operations/facilities across Taiwan, US, Southeast Asia, and Europe, with ongoing capacity expansion, and its headquarter is in Zhubei, Taiwan.

Management team

Kuo-Hsiu Huang (黃國修), Chairman

Kuo-Hsiu Huang has served as the Chairman of Accton Technology since 2024 and the Director since 2014. Currently, he also holds key positions in several subsidiaries, including the Chairman of Accton Tech (China) Co., Ltd., E-Direct Corporation, and MuXi Technology (Nanjing) Co., Ltd., as well as the Director of Accton Century Holding (BVI) Co., Ltd., Accton Asia Investments Corp., Accton Investment Corporation, and Edgecore Networks Singapore Pte. Ltd. In addition, he serves as the Chairman of Golden Tengis Co., Ltd. and Kuan Xin Investment Co., Ltd. Previously, he served as an Assistant Manager of Accton Technology. Mr. Huang holds an MBA from Peking University.

Chiu-Hsia Wei (韋秋霞), Vice Chairman

Chiu-Hsia Wei has served as the Vice Chairman of Accton Technology since 2024. Currently, she is also the Director of two subsidiaries, Accton Logistics Corporation and Accton Global Inc. In addition, she serves as the Legal Representative of Kuan Xin Investment Co., Ltd. Previously, she served as the Senior Associate Vice President of Procurement at Accton Technology. Ms. Wei graduated from Shih Chien Junior College.

Jackal (Hsun-Te) Li (李訓德), President

Jackal Li has served as the President of Accton Technology since 2025. Currently, he also serves as the Director of several subsidiaries, including Accton Logistics Corporation, Accton Global, Inc., Vietnam Accton Technology Co., Ltd., and Accton Manufacturing and Service, Inc. Mr. Li holds a Bachelor's Degree in Business Management from Chung Hua University.

Fanny (Fang-I) Chen (陳芳儀), Chief Finance Officer

Fanny Chen has served as the CFO of Accton Technology since 2023. Currently, she also serves as the Supervisor of several subsidiaries, including Edgecore Networks Corporation, E-Direct Corporation, and GoldiLink Technology Corp. Previously, she served as the Accounting Manager and Assistant Manager of Accton Technology. Ms. Chen holds a Bachelor of Science in Finance and Taxation from National Chengchi University.

Edward (Hsing-Hsuan) Lin (林信玄), Corporate Governance Manager

Edward Lin has served as the Corporate Governance Manager of Accton Technology since 2021. Currently, he also serves as the Chief Legal Officer and the Spokesman of the company. Mr. Lin holds a Master of Science in Technology Law from National Yang Ming Chiao Tung University.

Top-10 shareholders and QFII holdings

As of 9 Oct 2026, Accton's top-10 shareholders held a combined 34.21% of its outstanding shares (Exhibit 55). The largest shareholder is Chin Chieh Min Co., Ltd. (金捷敏股份有限公司), chaired by Accton Chairman Kuo-Hsiu Huang, with an 8.04% stake. Rest of the top-10 shareholders are all institutional investors, including Vanguard Group (5.01%), Blackrock (4.52%), New Labor Pension Fund (4.19%), JPMorgan Chase (2.53%), Sheng Yang Investment Consulting (2.31%), Uni-President Asset Management (2.30%), Yuanta Financial Holding (2.11%), Fubon Financial Holding (1.76%), and Norges Bank (1.45%).

Currently, Accton's QFII holding is 56.9% vs. TAIEX's 48.2%. Since IPO, its historically highest QFII holding was 71.8% in Feb-2021 and the lowest at 0.0% in November 1995, vs. TAIEX's lowest/highest level of 50.3%/8.9% in the same period (Exhibit 56).

Exhibit 55: Top-10 shareholders own total 34.2% of Accton's outstanding shares

Accton's top-10 shareholders list

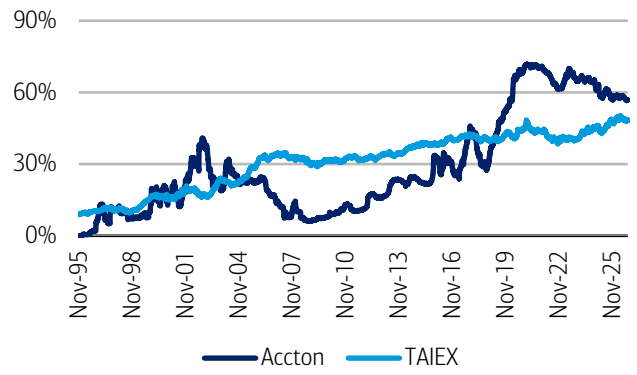
Shareholder name	Holding %
Chin Chieh Min Co Ltd	8.04%
Vanguard Group Inc	5.01%
Blackrock Inc	4.52%
NEW LABOR PENSION FUND	4.19%
JPMorgan Chase & Co	2.53%
Sheng Yang Investment Consulting Co Ltd	2.31%
Uni-President Asset Management Corp/Taiwan	2.30%
Yuanta Financial Holding Co Ltd	2.11%
Fubon Financial Holding Co Ltd	1.76%
Norges Bank	1.45%
Subtotal	**34.22%**

Source: BofA Global Research, Bloomberg. Data as of 2026/10/09

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Exhibit 56: Accton's current/lowest/highest QFII holdings since IPO is 56.9%/0.0%/71.81%, vs. TAIEX's 48.2%/8.9%/50.3%

Accton's QFII holding vs. TAIEX since Accton's IPO in Nov 1995



Source: BofA Global Research, TEJ

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Appendix

What is leaf-spine architecture?

Leaf-spine is a modern data center network architecture designed to provide high bandwidth, low latency, and predictable performance, especially for workloads that generate heavy server-to-server (east-west) traffic such as AI training, cloud services, and distributed computing. In a leaf-spine design, the network is simplified into two layers: the leaf layer and the spine layer. Every leaf switch connects to every spine switch, creating a full-mesh topology between the two layers (Exhibit 57).

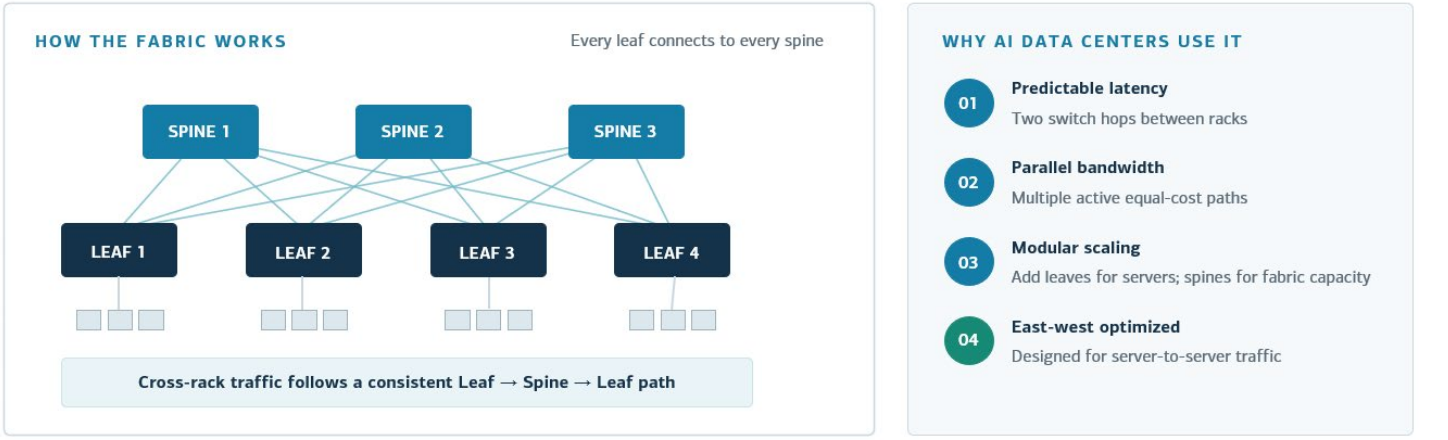
The leaf switches sit at the edge of the network and connect directly to servers, storage systems, and other endpoints. The spine switches act as the backbone, interconnecting all leaf switches but never connecting directly to endpoints. As a result, traffic between any two servers attached to different leaf switches always traverses the same number of hops: Leaf → Spine → Leaf. This predictable path helps maintain consistent latency and simplifies network scaling.

Leaf-spine architecture became popular because traditional three-tier networks (access, distribution, core) were optimized for north-south traffic between users and servers. Modern datacenters, however, generate significant east-west traffic, where servers communicate heavily with one another. AI clusters are a prime example, as GPUs frequently exchange data during model training. A leaf-spine fabric minimizes bottlenecks by enabling multiple equal-cost paths and load-balancing traffic across all available links.

Another major advantage is scalability. As capacity requirements grow, operators can add more leaf switches to connect additional servers, or add more spine switches to increase backbone bandwidth. As every leaf connects to every spine, the architecture scales in a modular and predictable way without requiring a significant redesign. The flexibility serves as one of key reasons behind hyperscale cloud providers and AI infrastructure operators' wide adoption in leaf-spine topologies.

Leaf-spine is particularly important because it drives demand for high-speed Ethernet switching (100G, 400G, 800G and beyond). AI datacenters often dedicate large numbers of spine and leaf switches to provide the massive bandwidth required by GPU clusters, making the leaf-spine fabric a foundational building block of modern AI infrastructure.

Exhibit 57: Leaf-spine is a modern data center network architecture designed to provide high bandwidth, low latency, and predictable performance, especially for workloads that generate heavy server-to-server (east-west) traffic such as AI training, cloud services, and distributed computing
Illustration of leaf-spine architecture and advantages of using leaf-spine architecture in AI



Source: BofA Global Research

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Abbreviation glossary

Exhibit 58: Glossary
Abbreviations used throughout the report

Abbreviation		Abbreviation	
A/P	Accounts Payable	ML	Machine Learning
A/R	Accounts Receivable	N/R	Notes Receivable
AI	Artificial Intelligence	NIC	Network Interface Card
ASIC	Application-Specific Integrated Circuit	NRE	Non-Recurring Engineering
ASP	Average Selling Price	NS	Nanoseconds
ATS	Advanced Technology Solutions	NT$ / NTD	New Taiwan Dollar
AWS	Amazon Web Services	OCF	Operating Cashflow
BS	Balance Sheet	OCS	Optical Circuit Switch
BVI	British Virgin Islands	ODM	Original Design Manufacturer
CAGR	Compound Annual Growth Rate	OEM	Original Equipment Manufacturer
Capex	Capital Expenditure	O-E-O	Optical-Electrical-Optical
CB	Convertible Bond	OPM	Operating Profit Margin
CCC	Cash Conversion Cycle	OWS	Optical Wavelength Switch
CCS	Connectivity & Cloud Solutions	P/B	Price to Book
CF	Cash Flow	P/E	Price to Earnings
COGS	Cost of Goods Sold	PCB	Printed Circuit Board
CPO	Co-packaged Optics	PEG	P/E growth
CSP	Cloud Service Provider	PO	Price Objective
DCI	Datacenter Interconnection	QFII	Qualified Foreign Institutional Investor
Diff.	Difference	R&D	Research and Development
EBITDA	Earnings Before Interest, Taxes, Depreciation, and Amortization	RHS	Right Hand Side

Exhibit 58: Glossary
Abbreviations used throughout the report

Abbreviation		Abbreviation	
EMS	Electronics Manufacturing Services	RMA	Return Merchandise Authorization
EPS	Earnings Per Share	ROE	Return on Equity
EV	Enterprise Value	SD	Standard Deviation
FCF	Free Cashflow	SerDes	Serializer/Deserializer
FX	Foreign Exchange	TAIEX	Taiwan Stock Exchange Capitalization Weighted Stock Index
GM	Gross Margin	TAM	Total Addressable Market
HPC	High Performance Computing	Tbps	Terabits per second
HPS	Hardware Platform Solutions	TEJ	Taiwan Economic Journal
IDC	International Data Corporation	Telco	Telecommunication Company
IOWN	Innovative Optical and Wireless Network	ToR	Top-of-Rack
IPO	Initial Public Offering	TPU	Tensor Processing Unit
JDM	Joint Design and Manufacturing	U	Rack Unit
LC	Local Currency	UALink	Ultra Accelerator Link
LCoS	Liquid Crystal on Silicon	US	United States
MBA	Master of Business Administration	US$ / USD	US Dollar
MEMS	Micro-electromechanical Systems	WDM	Wavelength-division Multiplexing

Source: BofA Global Research

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Exhibit 59: Stock mentioned
Market information for stocks mentioned in the report

BofA Ticker	Bloomberg Ticker	Company Name	Price (LC)	Rating
XTWOF	2345 TT	Accton	2,130.00	C-1-7
CLS	CLS US	Celestica	362.16	C-1-9

Source: BofA Global Research. LC: Local Currency. Market data as of 2026/10/12 (Accton) or 10/09 (Celestica)

BofA GLOBAL RESEARCH

Price objective basis & risk

Accton (XTWOF)
Our PO of NT$3,200 is based on 18x 2028E EPS. We use 18x P/E multiple (around 1SD above historical P/E average since 2008) in view of strong AI uptrend, leading position in AI networking/switch white-box, expanding OPM with sustainable/high GM, and double-digit sales/EPS CAGR in 2026-28E.

Upside risks to our PO are: (1) faster 800G/1.6T deployment by key customers, (2) easing component supply shortage, (3) new customer/project win, (4) accelerating optical/cooling business development, (5) faster capacity expansion progress, (6) favorable FX movement (mainly USD/NTD).

Downside risks to our PO are: (1) AI product/project delay and slower 800G/1.6T adoption, (2) key customers' demand push out due to component supply shortage, (3) higher GM pressure due to component cost inflation, (4) pricing pressure and/or market/order share loss due to peer competition, (5) slower capacity expansion, (6) unfavorable FX movement (mainly USD/NTD) or macro uncertainty.

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APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	AAC Technologies	AACAF	2018 HK	Katherine Zhu
	Accton	XTWOF	2345 TT	Doris Kao
	Advantech	ADTEF	2395 TT	Robert Cheng

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Asia Vital Components	AVMPF	3017 TT	Doris Kao
	Asustek	AKCPF	2357 TT	Robert Cheng
	BizLink	BIZLF	3665 TT	Doris Kao
	Chenbro	CEOMF	8210 TT	Doris Kao
	Cowell	CWLLF	1415 HK	Katherine Zhu
	Crystal-Optech	XMKAF	002273 CH	Katherine Zhu
	Delta Electronics (Thailand)	XLETF	DELTA TB	Suppapong Iemkongaek, CFA, CMT
	Delta Electronics Inc.	DLTEF	2308 TT	Robert Cheng
	Duksan Neolux	XDSXF	213420 KS	Simon Woo, CFA
	Dynamic Holding	XLHCF	3715 TT	Mike Yang
	Elite Material	ETMCF	2383 TT	Mike Yang
	Foxconn Industrial Internet	XDAZF	601138 CH	Robert Cheng
	Goertek	XGKCF	002241 CH	Katherine Zhu
	Gold Circuit	GOCCF	2368 TT	Doris Kao
	Hana Microelectronics	XHNNF	HANA TB	Suppapong Iemkongaek, CFA, CMT
	Hon Hai Precision Industry	HNHAF	2317 TT	Robert Cheng
	Huaqin	XHUAF	603296 CH	Katherine Zhu
	Huaqin	XPEZF	3296 HK	Katherine Zhu
	ISU Petasys	IPTYF	007660 KS	Matt Shin
	Jentech	XVFSF	3653 TT	Doris Kao
	KCE Electronics	XKKRF	KCE TB	Suppapong Iemkongaek, CFA, CMT
	King Slide	KGSLF	2059 TT	Doris Kao
	Kingboard Laminates	KGBLF	1888 HK	Katherine Zhu
	Kinsus	KNSUF	3189 TT	Mike Yang
	Largan Precision	LGANF	3008 TT	Robert Cheng
	Lenovo Group	LNVGF	992 HK	Robert Cheng
	Lenovo Group	LNVGY	LNVGY US	Robert Cheng
	Lens Tech	XLTVF	6613 HK	Katherine Zhu
	LG CNS	XLGLF	064400 KS	Simon Woo, CFA
	LG Electronics	LGEAF	066570 KS	Simon Woo, CFA
	LG Innotek	XLGQF	011070 KS	Simon Woo, CFA
	Lotes	ZYZTF	3533 TT	Doris Kao
	Luxshare	XNJQF	002475 CH	Katherine Zhu
	Netweb Technologies	XNTZF	NETWEB IN	Jatin Kalra, CFA
	NYPCB	NANYF	8046 TT	Mike Yang
	Quanta Computer	QUCPF	2382 TT	Robert Cheng
	Samsung Electro-Mechanics	SMSGF	009150 KS	Simon Woo, CFA
	Samsung SDI	SSDIF	006400 KS	Simon Woo, CFA
	Samsung SDS	XWPBF	018260 KS	Simon Woo, CFA
	Shennan Circuits	XAMKF	002916 CH	Katherine Zhu
	Taiwan Union Technology Corporation	TWUNF	6274 TT	Mike Yang
	Unimicron	UMCRF	3037 TT	Mike Yang
	Universal Display	OLED	OLED US	Simon Woo, CFA
	Victory Giant	XENEF	300476 CH	Katherine Zhu
	Wistron	WICOF	3231 TT	Doris Kao
	Wiwynn	XWIQF	6669 TT	Robert Cheng
	Xiaomi Corporation	XIACF	1810 HK	Robert Cheng
	Yageo	YGEQF	2327 TT	Robert Cheng
	Zhen Ding Tech	XFAGF	4958 TT	Doris Kao
	Zhongji Innolight	XZICF	300308 CH	Katherine Zhu
NEUTRAL				
	Auras Technology	AUTCF	3324 TT	Doris Kao
	BYD Electronic	BYDIF	285 HK	Katherine Zhu
	DS Precision	XBASF	002384 CH	Katherine Zhu
	E Ink Holdings	PVWIF	8069 TT	Doris Kao
	Lite-On Tech	LOTZF	2301 TT	Doris Kao
	Sunny Optical	SNPTF	2382 HK	Katherine Zhu
UNDERPERFORM				
	Acer	ASIYF	2353 TT	Robert Cheng
	Catcher Tech	CHERF	2474 TT	Robert Cheng
	Compal Electron	XLCPF	2324 TT	Doris Kao
	Everwin Precision	XSHZF	300115 CH	Katherine Zhu
	Genius Electronic Optical	GNSEF	3406 TT	Robert Cheng
	Lens Tech	XLTGF	300433 CH	Katherine Zhu

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
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	LG Display-ADR	LPL	LPL US	Simon Woo, CFA
	Pegatron	PGTRF	4938 TT	Robert Cheng
	Sanan Opto	XEQYF	600703 CH	Katherine Zhu
	Seoul Semiconductor	SLSOF	046890 KS	Simon Woo, CFA
	Shengyi	DGUNF	600183 CH	Mike Yang
	Sunway Communications	XWSVF	300136 CH	Katherine Zhu
	Transsion	XCINF	688036 CH	Robert Cheng
	ZTE Corporation	SHZZF	000063 CH	Katherine Zhu
	ZTE Corporation	ZTCOF	763 HK	Katherine Zhu

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Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 − Tax Rate) + Goodwill Amortization	Total Assets − Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations − Total Capex	N/A

Quality of Earnings	Numerator	Denominator
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt − Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense

Valuation Toolkit	Numerator	Denominator
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations − Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

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Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	255	62.04%	Buy	157	61.57%
Hold	82	19.95%	Hold	46	56.10%
Sell	74	18.00%	Sell	31	41.89%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

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